



## External Underwriting Guide

# Debt Service Coverage (DSCR)

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Version 1.02

**External/Broker Use Only**

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## 1. Introduction

Constructive Loans, LLC, and its affiliates (“Lender”) originate business purpose loans to credit worthy, professional investors that rent residential properties for investment and income generation. The following guidelines outline underwriting procedures for business purpose loans secured by residential rental properties located throughout the United States (“Loans”) originated by Lender or its affiliates. This document is intended to serve only as a guideline and reflects current lending product requirements, which may be amended at any time without prior notice.

This guide is for informational purposes only and should not be relied upon as a complete set of underwriting guidelines, documentation requirements or be construed as a commitment to lend.

## 2. Application and Submission Requirements

To apply for a Rental Loan Product, each prospective Borrower/Guarantor must complete a Constructive Loans Property Approval Application in its entirety and submit the required information set forth in the Borrower and Guarantor Requirements.

See [Appendix A](#): Borrower and Guarantor Requirements and [Appendix B](#): Property Requirements.

### 2.1 Broker Exception Process

Any loans which require exceptions to guidelines must be reviewed with the Constructive Loans Account Executive and submitted for review to the credit committee/exception desk for approval. Pertinent information to the loan file will be required to determine eligibility for the exception including but not limited to:

- Loan amount
- LTV
- Credit Score/History
- Property Type
- Reserves/Assets
- Reason for the exception
- Details supporting exception approval

### 2.2 Lending Restrictions

Lenders do not originate loans in below listed states.

- North Dakota
- South Dakota
- Utah
- Nevada

Verify additional state restrictions as defined on overlay matrix that is subject to change without notice.

#### 2.2.1 Entity Only States

Loans in these states must be made to entities only; Constructive Loans cannot lend to individuals in the following states:

- Virginia
- New York
- Georgia
- Florida

### 3. Loan Programs

Loan Programs will be determined by a diligence and underwriting review of the Borrower and any Guarantor(s). Borrowers may be approved for the following programs:

- **DSCR Rental Purchase:** Used to acquire and stabilize non-owner-occupied residential property.
- **Delayed DSCR Rental Purchase Transaction** Less than six (6) months from Acquisition date to Note date with no debt is permitted.
- **DSCR Rental Refinance:** Used to refinance a non-owner-occupied residential property owned by the Borrower. Loan may be used to improve current rate/term or for cash-out.

### 4. Rental Loan Products

| Product Terms                                                                                                                                 |                                                                        |
|-----------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------|
| Transaction Purpose                                                                                                                           | Purchase; Delayed Purchase*; Rate & Term Refinance; Cash-Out Refinance |
| Original Term                                                                                                                                 | 30 Years                                                               |
| Maximum Loan Amount                                                                                                                           | \$2,000,000**                                                          |
| Minimum Loan Amount                                                                                                                           | \$50,000                                                               |
| Minimum Property Value                                                                                                                        | \$75,000                                                               |
| Occupancy                                                                                                                                     | Non-owner-occupied                                                     |
| 5/1 ARM (2/2/5)                                                                                                                               | Yes                                                                    |
| 7/1 ARM (5/2/5)                                                                                                                               | Yes                                                                    |
| 10/1 I/O ARM                                                                                                                                  | Yes                                                                    |
| ARM Margin                                                                                                                                    | 5.00%                                                                  |
| ARM Floor                                                                                                                                     | Margin                                                                 |
| Index                                                                                                                                         | 30-day average SOFR                                                    |
| 30 Year Fixed (Fully Amortized)                                                                                                               | Yes                                                                    |
| Negative Amortization                                                                                                                         | Not permitted                                                          |
| Prepayment                                                                                                                                    | Allowed                                                                |
| Prepayment Premium                                                                                                                            | 2-5 Years                                                              |
| * Purchase loan policies apply to borrower owned properties acquired with cash (no outstanding lien on title) within 6 months from Note date. |                                                                        |
| ** Loan amount > \$1MM will require second level review and approval.                                                                         |                                                                        |
| Loan amount > \$2MM will require Credit Committee review and approval.                                                                        |                                                                        |

**Note:** Any loan transaction over \$1.5MM will require two full appraisals.

### 5. Borrower/Guarantor Requirements

The Borrower should have overall financial strength and tolerance for risk, be of high integrity, have a proven track record, and success repaying debt obligations (Constructive Loans will lend to Borrowers with fee simple ownership and requires that title to the collateral be held either (i) directly by an individual person(s) or (ii) by an entity acceptable to Constructive Loans in its sole discretion as described further herein.

All guarantors are required to be at least 21 years of age at application date and have an economic interest in the subject collateral, including the borrowing entity (if applicable).

#### 5.1 Guarantor(s)

Constructive Loans will require a guaranty from at least one (1) qualifying individual that directly or indirectly has an ownership interest equal to or greater than 20% in the borrowing entity, where legally permitted.

#### 5.2 Non-Recourse Loans

Non-recourse loans are not permitted. Constructive Loans requires a personal guaranty for all loans.

## 5.3 Guarantor Residency

Guarantors can be U.S. Citizens, Legal Permanent Resident Aliens, and Non-Permanent Resident Aliens that reside in the United States.

All Foreign National Borrowers will be evaluated under Constructive Loans' Foreign National Guidelines as set forth in [Appendix F:](#) and are required to borrow in the name of a U.S. based entity.

## 5.4 Borrowing Entity Requirements

Constructive Loans will require at least one (1) qualifying individual to provide a guarantee for a loan with a Borrowing Entity. The Guarantor must have equal to or greater than 20% direct or indirect ownership interest in the Borrowing Entity.

Entity must demonstrate its primary creation is for real estate investment purposes.

Eligible Borrowing Entity Types:

- Limited Liability Company (LLC)
- Sole Proprietorship
- Limited Partnership (LP)
- Limited Liability Partnership (LLP)
- Limited Liability Limited Partnership (LLLLP)
- Corporations (C and S Corp)
- Revocable Living Trusts are eligible, subject to a full and satisfactory Trust review to confirm eligibility

A Series LLC is permitted. LLCs within a Series LLC and subsidiary LLCs that are wholly owned by a Borrowing Entity will require submission of new entity documentation when established. Series Entity structures must have identical entity structure including the following:

- Consistent members
- Managers
- General LLC structure

Ineligible Borrowing Entity Types:

- Irrevocable Trusts
- Community Land Trusts
- Cooperatives and Joint Ventures
- Fund LLCs (LLCs which combine money from multiple investors to invest in a specific strategy)

Borrower entity documentation requirements are outlined in [Appendix A](#)

## 5.5 Borrower & Guarantor Profile

Constructive Loans will undertake a review of each Borrower and its Guarantor(s) and Principal(s) (as applicable) to establish the acceptability of the application as described below.

In some cases, a greater down payment (or escrow of funds) may be required to compensate for Guarantor financial limitations. Guarantees must be personally signed by the Guarantor.

Constructive Loans will carefully evaluate the integrity of:

- All parties that control the Borrower including Managers
- Any Guarantor(s), and
- Any party that owns 20% or more of the Borrower, directly or indirectly, (collectively the "Key Principals and Entities")

### 5.5.1 Background Checks and Due Diligence

Constructive Loans will order background checks on all Borrowers/Guarantors from Data Verify, Lexis Nexis or another comparable provider, which includes: OFAC searches and identity verification alerts.

- Guarantors with tax liens, whether federal, state, property or personal are required to provide evidence of release/satisfaction prior to closing as determined through title review, fraud report, credit report and any other diligence documents in the file. In the case of property tax liens, Internal Revenue Service (IRS) documentation or other acceptable evidence of release is required or evidence of six (6) months of IRS payment history. Property tax liens that do not affect the subject property may not be required to be paid or satisfied. In cases where we have multiple property tax liens, a letter of explanation is required and is subject to further supporting documents. Property tax liens may be required to be paid prior to closing based on analysis.
- An OFAC check is required for all Borrowers, Guarantors, Key Principals (entity and individuals), and any entity Manager(s)
- Criminal History.
  - **Financial Crimes.** An applicant with a conviction relating to or arising out of financial theft, financial fraud, and financial misrepresentation, money laundering, forgery or other financially related crime is ineligible for credit from Constructive.
  - **Non-Financial Felonies.** Felony convictions that occurred more than 3 years prior to an application for credit may be acceptable on an exception basis, and the following documentation must be reviewed:
    - Evidence of court records or
    - A letter of explanation for the conviction must be provided for review.

## 5.6 Power of Attorney

A Power-of-Attorney (POA) is not acceptable on closing documents including but not limited to the Personal Guaranty and will require a Guarantor/Borrower signature.

## 6. Credit/Representative FICO

Constructive Loans or approved broker will order tri-merge hard pull credit reports from a valid credit provider (Informative Research, Xactus, Kroll, Experian, Credco, etc.) on all individuals serving as Guarantor(s) for the Borrowing Entity.

Any/all proposed Borrowers/Guarantors must have a minimum credit score of 600 to be eligible from any credit repository (TransUnion/Equifax/Experian). Qualifying/representative FICO score must be 660 or greater.

The maximum loan-to-value/loan-to-cost will be determined by using the highest median FICO credit score as indicated between all reports by the Borrower/Guarantor's tri-merge credit report where there are multiple guarantors. If only two (2) credit scores are returned, the lower of the two (2) will be used as the representative score.

### 6.1 Frozen Credit Bureau files

If the tri-merge report shows that one or more of the Borrowers credit bureau files are frozen the Borrower will be required to unfreeze the file and a new credit report must be pulled reflecting all three (3) scores.

In the case of multiple Guarantors, the highest of all representative scores will be used as the qualifying FICO for credit decision.

### 6.2 Defining First Time Homebuyers versus First Time Investors

Key Differences between First time Investors and first-time Homebuyers

- First-Time Homebuyer relates to personal occupancy and ownership status within the last 3 years.
- First-Time Investor relates to experience managing or owning investment properties, regardless of personal residence status.

A borrower can be a first-time investor even if they are a repeat homeowner (e.g., owns a primary residence but is buying their first rental property).



Constructive loans will evaluate first-time homebuyers against our rigorous credit requirements as further outlined in this guide.

### 6.2.1 First Time Homebuyer Definition

A First-Time Homebuyer is defined as a borrower who has not owned or held title to a residential property within the past 3 years.

### 6.2.2 Documentation Requirements for Prior Homeownership

To confirm previous homeownership, provide any one of the following:

- Mortgage statements showing the borrower listed as a borrower within the last 3 years
- Property tax records or deed/title history in borrower's name
- Settlement statements (CD/HUD-1) showing the borrower as buyer on a property
- Homeowners insurance declarations with named insured as borrower
- Credit report showing closed or open real estate-secured tradelines (with property address)

If the borrower was a co-borrower or held title in a trust or LLC, supporting documents (e.g., operating agreements, trust agreements, title policy) should be included to verify their ownership interest.

### 6.2.3 First Time Homebuyer Requirements

All first-time home buyers require Senior Management approval and must be pre-approved through the exception process prior to submission to Constructive Loans.

When a borrower is classified as a first-time homebuyer, they must demonstrate stable housing payment history via rental verification.

Acceptable rent verification (Provide one of the following):

- 12 months of Cancelled checks, Bank statements or proof of Zelle/Venmo/Bank Transfers with current lease
  - Must show payment to landlord consistently
  - Name and address on lease must match landlord
  - Digital payments MUST show the landlord's name or company

OR

- 12 Month Verification of Rent (VOR) from a Licensed Property Manager
  - On company letterhead or standard VOR form

Cash payment of rent without supporting documentation is NOT acceptable for credit decisioning.

#### 6.2.3.1 Special Considerations – No rent history

If the borrower lives rent-free (e.g., with family), provide a letter of explanation AND documentation such as:

- Signed letter from the homeowner stating the terms and duration of occupancy
- Proof of residency (ID, utility bills at address, etc)

### 6.2.4 First time Investor Definition

A First-Time Investor is a borrower who has never owned real estate for business, rental, or investment purposes (even if they currently own or previously owned a primary residence).

## 6.3 Mortgage History

Constructive Loans reviews all mortgages reporting to the credit bureau. The borrower may not be more than 1x30 in the most recent 12 months for all reporting mortgages. Subject property mortgage loans not reporting on the credit bureau may require a

Verification of Mortgage (VOM) or equivalent payment history. Payment history for all VOMs must be reviewed for acceptable mortgage payment history as established in these guides.

When a VOM is being utilized to establish tradeline requirements the payment history will be evaluated using the 1x30 most recent 12 months criteria.

Past due mortgage account(s) reflected on the credit report or verification of mortgage (if applicable) must be brought to current before closing.

### **6.3.1 Rolling Mortgage Lates**

Rolling Lates refers to a pattern where a borrower consecutively fails to make loan payments in a timely fashion over multiple months in a row not exceeding 30 days. Typically, the borrower makes a payment mid-month that is not then received or applied within the 30-day window. Rolling lates of three (3) consecutive months MAXIMUM will be considered as one (1) incident/late payment for the purpose of counting the most recent 12-month payment history for mortgage debt only.

#### **6.3.1.1 Identification of Rolling lates**

- Rolling lates are identified when a borrower has been late on payments a maximum of three (3) consecutive times in a row, with no breaks and does not exceed more than 30 days late. Lates that have triggered default or greater than 30 days cannot be counted as a rolling event.
- The payment is considered late if it is made after the grace period outlined in the loan agreement or as reported on credit or servicer pay string when evaluating the applicable mortgage payment history.

#### **6.3.1.2 Maximum Tolerable Event String**

The maximum number of consecutive late payments (rolling lates) allowed is three months. This means a borrower can only have a sequence of up to three consecutive late payments within any 12-month period.

- Example: Two (2) 30-day lates in the past 12 months for mortgage are identified on credit report rating (credit string reports late 5/24 and 6/24 each 1 x 30-as neither late occurred beyond 30 days and were consecutive this counts as 1x30 or one (1) late 30-date late payment in the most recent 12 months

#### **6.3.1.3 Documentation and Verification**

Document rolling lates with the borrower's written, signed and dated explanations for these occurrences. Explanations are subject to lender review and acceptability and may require additional documentation.

Mortgage history must be carefully reviewed to ensure there is not a pattern of rolling lates or, lates are not in conjunction with a pattern of late payment or financial instability in reserves. Documentation must support remediation of the lates and support a one-time occurrence.

### **6.3.2 Housing Events**

#### **6.3.2.1 Bankruptcy**

Borrowers and Guarantors currently in Bankruptcy or discharged/dismissed less than 24 months prior to the application date are not eligible.

#### **6.3.2.2 Foreclosure/Deed-in-Lieu (DIL)/Short Sale**

Borrowers/Guarantors currently in Foreclosure/DIL/Short Sale or who have completed any of these within the 24 months prior to application date are not eligible.

#### **6.3.2.3 Other Housing Events**

Borrowers/Guarantors that have housing events such as Forbearance/Modification/Deferment within the 24 months prior to application date are not eligible.

Timeshare events of default are not considered a housing event.

## 6.4 Other Debts

Guarantor(s) must be current on all/any obligations including but not limited to installment and revolving debts.

## 6.5 Existing/Repeat Borrowers

Constructive Loans will carefully analyze borrower loan performance history for delinquency, early payment default (EPD), maturity default and should also verify that the Borrower's total exposure does not exceed \$10M.

## 6.6 Trade Line Requirements

- A minimum of three (3) Trade Lines (open or closed) must be established.
- Minimum of two (2) Active Trade Lines (account must be active last 60 days from credit report date or account has an active balance).
- At Least one (1) Trade Line (open or closed) with 24+ month rating.
- Authorized user accounts are not eligible trade line.
- Derogatory accounts and collection accounts are not an eligible trade line.

Constructive Loans will consider verifying alternate credit accounts such as utility payments, phone bills, VOM, verification of rent (VOR) with 12 months cancelled checks on mortgage accounts not reported on the Borrower's credit report to satisfy trade line requirement. Consideration of use of alternative tradelines is on an exception basis and will require additional supporting factors.

### 6.6.1 Non-Traditional and Alternative Tradeline Requirements

Constructive Loans will consider Non-Traditional Tradelines and Alternative Tradelines when evaluating credit worthiness and ability to repay the requested debt. Constructive Core guidelines for establishing acceptable credit reports, FICO score, and minimum requirements must be met. Borrowers/Guarantors who are unable to meet the minimum tradeline requirements or length of credit (seasoning) of tradeline requirements may be eligible to utilize either a non - traditional tradeline OR Alternative tradeline.

Borrowers without a FICO or lack sufficient credit to obtain a credit score are not eligible to use Non-traditional or Alternative tradelines.

#### 6.6.1.1 General Documentation Requirements

The lender can document the borrower's nontraditional and Alternative credit history directly from the borrower or the creditor, and/or by obtaining a 3rd party credit report supplement from a consumer reporting agency as described in detail for each type of tradeline (Non-Traditional or Alternative). Non-US Citizens (non-perm, asylum seekers, undocumented, etc.) and Foreign National Borrowers are excluded from establishing non-traditional or alternative tradelines and must follow the guides for those specific instances and programs where applicable.

#### 6.6.1.2 Non-Traditional Tradeline Definition

An item that historically would report on credit, not currently reporting on the Borrowers credit report due to circumstances beyond the Borrower(s)/Guarantor(s) control (i.e., servicer does not report to credit bureaus, etc.). Accounts with negatively reported information on the credit report, which the borrower has excluded from the report, are unacceptable.

Non-Traditional Credit items can be used to establish as many tradelines as required/wanted to meet minimum tradeline seasoning and payment history requirements.

Examples of Non-Traditional Tradelines

- Mortgage(s) not reporting on credit due to servicer agreements and or practices
- Rental Payment History

### 6.6.1.3 Documentation Requirements for Non-Traditional Tradeline

The following types of documentation will be deemed acceptable documentation of a non-traditional tradeline. Lender reserves the right to require additional documentation, or combination of documents, from this list where discrepancies or gaps in data may exist.

#### Housing payment History

The borrower's housing payment history must be documented for the most recent consecutive 12-month period. The following documentation is acceptable:

#### Mortgage

- Printout from a nationally recognized mortgage servicer with no alterations, white-out or changes and must include the following items:
  - Complete payment history of the loan from inception through most current 30 days and includes the following:
    - the date the account was opened,
    - the current status of the account,
    - the amount of highest credit,
    - the current status of the account,
    - the required payment amount,
    - the unpaid balance, and
    - the payment history.
  - The historical status of each account must be stated in a "number of times past due" format using "0 X 30, 0 X 60, 0 X 90" days late.

Vague statements such as "current," "satisfactory," or "pays as agreed" are not acceptable by themselves OR,

Canceled checks can be provided. In lieu of canceled checks, the lender may use the borrower's bank statements, copies of money orders, or other reasonable methods for documenting timely housing payments. The documentation must clearly indicate the payee and amount being paid and reflect that payments were made on a consistent basis.

- VOM's alone are not sufficient documentation and would need to be supported with a credit supplement from the issuing credit report provider AND one of the options above

Additional lates outside of the lookback period for the loan type, loan product, and asset type are covered in the Constructive Loans core guidelines and will apply in the same manner to the non-traditional tradeline.

### 6.6.1.4 FICO Minimum Requirement for Non-Traditional Credit Use

Minimum FICO requirement for nontraditional credit use do not deviate from Constructive loans core credit guidelines and matrices per program and asset type. Please refer to constructive core guidelines for further minimum FICO score requirements for each Borrower/Guarantor

### 6.6.1.5 Non-Traditional Tradeline Compensating Factors Requirement

Non-traditional tradelines are not subject to additional compensating factors beyond the usual guidelines as these items are not using an alternative method of qualifying but addressing the non-reporting credit items.

### 6.6.1.6 Alternative Tradelines

Alternative Tradeline documentation may be used to build a maximum of one (1) qualifying tradeline and may be used to meet length either tradeline seasoning requirement and/or current/active tradeline requirement.

Alternative Tradeline Definition:

Alternative tradelines are defined by Constructive loan as tradelines which do not traditionally report on credit.

Examples of such tradelines would be:

- Car loan(s) not reporting to credit agency
- Credit cards from nationally recognized providers not reporting on credit report (authorized user accounts are not acceptable)
- 401k loans
- Utility Bills: water, gas, electric, Cable, Netflix
- Payment of medical bills
- Cell phone payments
- Life Insurance policies
- Payments of Hazard Insurance or Rental Insurance Policy(ies) (provided they are not impounded)
- School tuition payments
- Rental or lease payments for durable goods such as equipment and automobiles

The above is not a comprehensive list. Items not included in this list may be considered on an exception basis with acceptable documentation determined by Constructive Loans. Any items not included in this list but which intend to be used as a tradeline must be submitted for review prior to submission to Constructive loans via the exception process.

If two or more borrowers on a loan share the housing-related reference (for example, they are both named on the lease for the property in which they are living), that documentation counts as one alternative credit reference for each borrower, even if only one borrower has been making the payments.

#### 6.6.1.7 Standards for Documenting Alternative Tradeline Accounts

##### Rent

- Printout from a nationally recognized property manager or with no alterations, white-out or changes and must include the following items:
  - Complete payment history of the loan from inception through most current 30 days and includes the following:
    - the date the account was opened,
    - the current status of the account,
    - the amount of highest credit,
    - the current status of the account,
    - the required payment amount,
    - the unpaid balance, and
    - the payment history.
  - The historical status of each account must be stated in a “number of times past due” format using “0 X 30, 0 X 60, 0 X 90” days late.

Vague statements such as “current,” “satisfactory,” or “pays as agreed” are not acceptable by themselves OR,

- Canceled checks can be provided. In lieu of canceled checks, the lender may use the borrower’s bank statements, copies of money orders, or other reasonable methods for documenting timely housing payments. The documentation must clearly indicate the payee and amount being paid, and reflect that payments were made on a consistent basis.
- Verification of Rent (VOR) from an individual landlord or property manager alone are not sufficient documentation and would need to be supported with one of the additional options above

#### 6.6.1.8 Individual Credit References Obtained Directly from a Creditor

Individual Credit References from a Creditor must include the following:

- the creditor’s name,

- the name of the individual providing the reference,
- the date the account was opened,
- the amount of highest credit,
- the current status of the account,
- the required payment amount,
- the unpaid balance, and
- the payment history.
- the historical status of each account must be stated in a “number of times past due” format using “0 X 30, 0 X 60, 0 X 90” days late.
- Vague statements such as “current,” “satisfactory,” or “pays as agreed” are not acceptable by themselves.

#### **6.6.1.9 Documenting Alternative Payment History Obtained from the Borrower**

For documentation obtained directly from the borrower, the following standards must be met:

- Documentation that describes the terms of the debt repayment or contract together with canceled checks (front and back, Money orders, e-payment app (Venmo, Zelle, PayPal) that reflect the borrower’s most recent, consecutive payment history for the tradeline they are attempting to establish
- Withdrawals or debits on the borrower’s bank statements that show the payee information clearly listed for the creditor and that payments were made on a consistent basis over the most recent consecutive 12 months.

#### **6.6.1.10 Verification of Bank Accounts and Wire Remittance Statements**

Account statements can be used to document an alternative credit history, provided they are from the borrower’s Business or Personal checking account, savings account, voluntary payments made to a payroll savings plan, or contributions to a stock purchase plan.

The account statements must reflect an increasing balance as a result of periodic deposits over at least the most recent consecutive 12-month period, with contributions being made no less than quarterly. If the account statements demonstrate overdraft activity, that information suggests a weakness in the borrower’s ability to meet financial obligations. The lender must assess the significance of this information relative to the borrower’s overall credit risk.

Wire remittance statements can be used to document an alternative tradeline credit history, provided they demonstrate a consistent amount of funds being remitted over the most recent consecutive 12-month period.

#### **6.6.1.11 Alternative Tradeline Additional Credit Requirements**

In addition to providing the lender with the previously described methods for documenting the various Alternative tradeline accounts the broker, loan officer, or referring party must obtain an acceptable credit report supplement when establishing an alternative tradeline.

The credit supplement should be provided from the issuing consumer credit reporting company and must contain the following items:

- Contain the Borrower’s name, address and other identifying information and original credit report ID # and date
- be completed on a credit supplement form free of alterations, white-out or other edits verify the information provided to the lender is true and accurate
- the date the account was opened,
- the amount of highest credit,
- the current status of the account,
- the required payment amount,
- the unpaid balance, and

- the payment history status of each account must be stated in a “number of times past due” format using “0 X 30, 0 X 60, 0 X 90” days late. Vague statements such as “current,” “satisfactory,” or “pays as agreed” are not acceptable by themselves.
- Contain the name and contact information of the credit reporting agency employee who is completing the verification and issuing the credit supplement
- The report must include the full name, address, and telephone number of the credit reporting agency, as well as the names of the company or individual that the agency used to provide information for the report.
- The credit reporting agency must make responsive statements about all items on the credit supplement—indicating “unable to verify” or “creditor refused to verify,” when appropriate.
- Supplement must be aged no more than 30 days at the time of loan funding or updated items may be required

#### 6.6.1.12 Compensating Factors for use of Alternative Tradelines

Establishment of a compelling use case for considering alternative documentation in determining credit worthiness and establishment of additional tradelines. Use cases such could include:

- Borrowers use of cash vs traditional consumer credit practices
- Borrowers lack of use of Debt in favor of cash or other payment methods for obtaining living essentials
- Borrower newness to establishing depth and amount of credit
  - i.e.: recently completed higher education, recently entered the business market, or prefers cash to debt

Utilize Constructive Loans Compensating factors list when weighing and appropriately documenting a loan file for Compensating factors [Appendix L](#): Compensating factors

Borrowers should demonstrate through consumer credit tradelines on credit report, FICO, and alternative tradelines the ability and willingness to repay debt and use credit appropriately. Alternative tradelines should enhance a Borrower’s credit profile and provide a more complete and accurate picture of Borrower’s credit profile.

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**Note:** \*\*\*Refer to No FICO Score section for Borrower’s that do not meet the minimum trade line requirement.

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### 6.7 No FICO Score

Section not applicable to Foreign National; refer to [Appendix F](#) for Foreign National

In the event a borrower/guarantor does not have a valid credit score due to lack of traditional credit history or lack of a social security number the following requirements will apply:

- Loan-to-cost (LTC) will be limited to a maximum of 70%
- Loan-to-value (LTV) will be limited to a maximum of 65%
- No derogatory credit can be present in the borrower/guarantor’s individual profile regardless of age.

### 6.8 Judgments and Liens Not on Title

All Federal tax liens not on title must be paid in full or evidence of IRS payment plan in place for no less than 6 months and paid current.

Open Judgements, Liens (non-federal tax) and collections/charge-offs not on title totaling more than \$5,000 must be paid in full at closing.

Loan proceeds cannot be used to satisfy the above.

Refer to section [16.9 Judgments and liens on title](#).

## 7. Asset/Borrower Financials

### 7.1 Liquidity

Each Borrower is required to demonstrate its financial position and shall have liquid assets (see liquidity eligibility) at least equal to the down payment amount for a purchase loan plus reserves.

#### 7.1.1 Liquidity Reserve Requirements

Total reserve requirement = Cash to close (HUD 1) + applicable months PITIA + 1% of the unpaid principal balance on all mortgages<sup>1</sup> reported on Credit report.

- 1-4 Unit properties
  - Six (6) months of subject property loan monthly PITIA
- 5+ unit<sup>2</sup> Properties
  - Twelve (12) months of subject property loan monthly PITIA
- Increased reserve requirements apply in the following situations:
  - Month-to-month (MTM) lease (with or without a prior lease) will require nine
    - (9) months of liquid (non-restricted accounts) reserves.
  - DSCR < 1.0
    - Twelve (12) months of subject property loan monthly PITIA
    - If Loan Payoff is not from recognized servicer or bank<sup>3</sup>
  - Twenty-Four (24) Months of subject property loan monthly PITIA

100% of Cash-out proceeds less required reserves from a simultaneous closing are eligible to be used towards downpayment and closing cost of a Constructive Loans purchase transaction. A copy of a fully executed settlement statement or HUD will be required at closing.

50% of Cash out proceeds may be used to meet liquidity requirements for all other transaction types.

**Note:** <sup>1</sup>HELOCs are considered Mortgage accounts therefore included in liquidity requirement

**Note:** <sup>2</sup>Cash out proceeds are not eligible assets to cover required reserves on 5+ unit properties.

**Note:** <sup>3</sup>See [Appendix N](#) for a list of recognized servicers and banks

### 7.2 Eligible Assets

The percentage (%) of funds that will be applied to liquidity will be determined by underwriting (for example, account ownership is less than 100%). Eligible funds may be further reduced per applicable haircuts outlined in the Liquidity Eligibility grid.

- 100% of funds are allowable for joint accounts with Spouses only.
- Joint accounts with non-Guarantors or spouses are allowed based on % of ownership.

| Eligible Assets for Liquidity Consideration                                                                                             |                       |
|-----------------------------------------------------------------------------------------------------------------------------------------|-----------------------|
| Asset                                                                                                                                   | Maximum Consideration |
| Checking Account (DDA)                                                                                                                  | 100%                  |
| Money Market Savings (SAV)                                                                                                              |                       |
| Certificate of Deposit                                                                                                                  |                       |
| Brokerage Accounts (Mutual Funds, Stocks and Bonds)                                                                                     |                       |
| Business bank or brokerage account in the name of the borrowing entity regardless of ownership percentage of the guarantor on the loan. |                       |
| Life Insurance (Net Cash Surrender Value Only) may be used to qualify/meet reserve requirements only                                    |                       |



|                                                                                                                                                                                                                                                                                     |                               |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------|
| IRA (Traditional/Roth); 401(K); Annuity/Pension (need terms of withdrawal-applicant must have access to full balance w/ no restrictions) *** IRA accounts can only be utilized to meet reserve requirements unless the Borrower is of retirement age or borrower shows liquidation. | 50%*                          |
| Home Equity Line of Credit (HELOC)                                                                                                                                                                                                                                                  | 50%                           |
| Refinance Proceeds (Constructive Loans or affiliate only)                                                                                                                                                                                                                           | 50%                           |
| Business bank or brokerage account in the name of NON borrowing entity                                                                                                                                                                                                              | Based on ownership Percentage |
| <b>Assets Ineligible for Liquidity Consideration</b>                                                                                                                                                                                                                                |                               |
| Pledged/Margined Accounts                                                                                                                                                                                                                                                           |                               |
| Assets not owned/vested in the Borrower's or Guarantor's name, excluding other borrower/guarantor owned entities.                                                                                                                                                                   |                               |
| Fixed/Non-Liquid Assets (Real Estate/Vehicles/equipment/etc.)                                                                                                                                                                                                                       |                               |
| Other: Inventory/Accounts Receivable                                                                                                                                                                                                                                                |                               |
| Stock Options and Restricted Stocks                                                                                                                                                                                                                                                 |                               |
| Unsecured Loan Proceeds (Signature loans, credit card or cash advances, student loans, peer to peer loans, business loans, and payday loans)                                                                                                                                        |                               |
| College Savings Account (529, etc.)                                                                                                                                                                                                                                                 |                               |
| Digital Currency (Bitcoin, etc.)                                                                                                                                                                                                                                                    |                               |
| Custodial accounts                                                                                                                                                                                                                                                                  |                               |
| Payable on death (POD), Transfer on death (TOD) where borrower is the beneficiary and In trust for (ITF) accounts                                                                                                                                                                   |                               |

\* Use of 401k or IRA reserves will be considered for use to a MAXIMUM of 50% of net cash value (after loans or other pledged funds are subtracted); verification of withdrawal is not required unless ANY of the following are true:

- Using 401k reserves for any part of closing funds/cash to close – then liquidation or terms of withdrawal must be evidenced
- OR
- When 401k funds are the **SOLE** source of reserves – then terms of withdrawal will be required

### 7.2.1 Assets Eligible for Cash to Close Only

The following assets may only be applied to the borrower's cash to close requirement and may not be used to meet reserve requirements. Any excess funds over and above what is needed to close the loan is not to be counted toward the reserve requirement.

- 1031 Exchange funds held by an appropriate 1031 Exchange
  - Purchase transactions only
  - May not be eligible to cover all transaction fees as determined by title/exchange administrator.
- Gift funds
  - See section [7.5 Gift funds](#)

## 7.3 Asset Documentation Verification Requirement

Constructive Loans will review two (2) complete account statements, covering the most recent 60 days of transaction history on the accounts that are needed to satisfy the reserve requirement.

The most recent bank statements must be provided for review, dated within 45 days of the initial application date and within 90 days of the consummation date. If updated statements are provided, liquidity calculations may need to be re-analyzed.

Liquidity will be verified via account statements from a U.S. depository institution. Liquidity requirements are set forth as follows:

- A minimum of the two (2) most current account statements or
- The most recent quarterly account statement

The ending balance of the account statement or acceptable printout will be used to calculate the available liquidity.

For assets to be evaluated and considered for liquidity purposes, valid bank/brokerage/retirement statements must include the following:

- Banking/brokerage institution name
- Validation of account ownership
- Borrower(s)/Guarantor(s) name and Business name if applicable
- Account number to include at least three (3) digits of account number.
- Visible and legible dates
- Statements include all pages (i.e. deposit/credit details are required)
- Microsoft Excel workbooks or other editable forms are not acceptable.
- Liquidity for foreign nationals must be in a U.S. depository institution (i.e. FDIC insured)

Online printouts can only be used as a supplement to a full bank statement. It must clearly show the following to be acceptable:

- Source URL evident on the printout
- Borrower Name
- Account Number
- Financial Institution
- Date
- Account Balance

#### **7.3.1 Asset Documentation for Business Accounts Other than the Borrowing Entity**

Additional documentation is required to determine the eligibility of a bank or brokerage account which is held in the name of an entity other than the borrowing entity. The following additional documentation is required:

- Full Operating Agreement that details ownership of the entity and access to funds in the entity's bank/brokerage account(s) OR
- Official documentation (i.e. letter from the bank) substantiating the applicant is an authorized signer and has access to business account funds
- Percent (%) of funds that will be applied to liquidity will be based on % of Guarantor ownership

#### **7.3.2 Trust Account requirements**

Bank or brokerage account held in the name of a Revocable Living Trust

- Full Trust Agreement that details beneficiary and access to funds in the trust's bank/brokerage account(s) is required
  - Must document conditions under which the borrower has access to the funds
  - If borrower's access to funds is limited/restricted use of the funds for reserves may not be eligible – escalate to underwriting manager.

### **7.4 Liquidity Sourcing Requirements/Large Deposit**

- When bank statements are used to qualify, they must be evaluated to determine if large deposits are present. Large deposits that are verified as any of the below do not need to be sourced:
  - Payroll; bonus compensation
  - Social Security; Disability income
  - Unemployment income
  - Transfers between borrower/guarantor's personal accounts
  - Tax refunds
  - Pension payments

- Large deposits that are not identified as one of the sources above are defined below and are required to be sourced if needed to qualify for reserve levels. If large deposits are backed out the deposit(s) or accounts(s), and the liquidity is still sufficient, the deposits are not required to be sourced.
- Large Deposit is defined as a single large deposit representing more than 75% of the monthly average bank statement deposits (average of two (2) most recent months total deposits = baseline).
  - If single deposit is < than baseline, then no additional documentation is required.
  - If single deposit exceeds baseline and is < or = 10k, then no additional documentation is required.
  - If single deposit exceeds baseline and is >10k but less than or equal to 50k, then LOX is sufficient documentation.
  - If single deposit is > baseline and is > \$50k then letter of explanation (LOX) and source of large deposit documentation is required

## 7.5 Gift Funds

Gift funds are allowed only to represent no more than 50% of the total required liquidity for the subject transaction.

### 7.5.1 Eligible Gift Donors

A gift can be provided by a relative, defined as the borrower's spouse, child, or other dependent, or by any other individual who is related to the borrower by blood, marriage, adoption, or legal guardianship; or a fiancé, fiancée, or domestic partner.

### 7.5.2 Gift Letter Requirements:

An acceptable Gift letter must include the following:

- specify the dollar amount of the gift.
- specify the date the funds were transferred.
- indicate the donor's name, address, telephone number, and relationship to the borrower.
- include the donor's statement that no repayment is expected.
- Be signed by both parties.
- Include a copy of the cancelled check or wire as confirmation for the funds.

## 8. Borrower Experience

Constructive Loans seeks to do business with experienced investors. Guarantors will be required to sign a declaration of non-occupancy at closing. Real estate experience can be validated in multiple ways:

- Current or previous property ownership.
- Real estate/Broker experience
- Licensed GC
- Rental Certification or comparable course

## 9. Due Diligence (Borrower/Property)

Constructive Loans employs a standard due diligence process throughout underwriting and relies on complete and accurate information to make appropriate credit decisions. This approach requires the timely receipt of critical documents from both borrowers and third parties. Borrowers are responsible for a number of items to facilitate the due diligence process. Constructive Loans may at any time during due diligence request additional information not included in that it deems necessary for making a lending decision. Constructive Loans may require updated documents prior to closing. Borrower due diligence as described above is required to be current as of the date of any loan approval as outlined below.

## 10. Age of Documentation

### Expiration for Borrower & Guarantor Due Diligence

|                           |                                                                                        |
|---------------------------|----------------------------------------------------------------------------------------|
| Credit Report             | No more than 90 days from Note Date                                                    |
| Background Search         | No more than 90 days from Note Date                                                    |
| OFAC                      | No more than 90 days from Note Date                                                    |
| Liquidity Verifications   | No more than 90 days from Note Date                                                    |
| Secure Insight            | No more than 7 days from Note Date                                                     |
| Appraisal Recertification | No more than 30 days from Note date (no more than 180 days from Appraisal Report date) |
| Appraisal/Valuations      | No more than 120 days from Note Date                                                   |
| Title Commitment/Wire/CPL | No more than 90 days from Note Date                                                    |

## 11. Subject Property Income

### 11.1 Lease Agreement

A fully executed long-term lease agreement must be obtained for any refinance transaction where the property has been owned greater than 180 days. Vacant properties are permitted for refinances of properties owned less than or equal to 180 days from acquisition date to note date. A verification of rent listing is required. Vacant recently rehabbed properties owned greater than or equal to 180 may be considered on an exception basis without a current lease.

For 2-4 unit property refinances, there shall be no more than one (1) vacant unit at origination and any vacant unit must provide evidence of a recent lease within the last 2 months.

Purchase transactions may be vacant at closing, a lease agreement is not required to be obtained.

See [Appendix G](#) for requirements for short-term rental properties.

A long-term lease is defined as having a term of at least 12 months (1 year).

#### 11.1.1 Lease documentation requirements

- Fully executed active 12-month lease agreement signed by all parties
  - If a lease agreement has been expired for over one (1) year and the lease agreement **indicates month-to-month**, the borrower must provide
    - Proof of the two (2) most recent rent payments received.
      - Cancelled check or bank statement are acceptable documentation,
      - Rent receipts as sole documentation is not acceptable.
  - If the lease agreement has expired and does **not indicate a month-to-month term**,
    - A new fully executed lease agreement must be provided.
- Each leased property unit must be used for residential purposes **ONLY** and be leased to a single family (per unit if multiple units)
- Leases with corporate tenants may be considered on an exception basis.
  - Requires a letter of explanation and
  - Confirmation of who will be residing in the property
- All leases must be third party leases.

### 11.2 Lease Seasoning

Vacant properties are permitted for purchase loans or refinances of properties owned equal to or less than six (6) months from Acquisition Date to Note Date. A verification of rent listing is required.

For refinances of single-family residence (SFR), condo and townhome properties owned greater than six (6) months from acquisition date to Note Date, the subject property must be occupied and leased. Properties recently renovated and owned greater than six (6) months are permitted to be vacant, Scope of Work and a verification of rent listing is required.

For 2–4 multi-family unit properties owned greater than six (6) months from acquisition date to Note date, shall have no more than one vacant unit at origination. If a vacant unit has evidence of a recent lease within the last two (2) months, a five (5) % LTV reduction will not apply.

The property must meet minimum DSCR requirements based on the rental income of the occupied units.

### 11.3 Lease to a Family Member

May be considered on an exception basis and requires senior management approval.

If the subject property is rented to a relative/family member, the borrower must provide 6 months of cancelled checks or bank statements to support the rent received. A rent receipt will not be accepted. Room Rent is not an acceptable source of rent.

Leaseback to a family member on a purchase transaction is not acceptable.

Leaseback to seller on a purchase must be carefully reviewed and evaluated for the following risks: straw buyer and reverse occupancy.

### 11.4 Section 8 Housing

Section 8 Housing is permitted. The Borrower must provide the current Housing Assistance Payment (HAP) agreement showing the approved rent amount and/or a copy of the most recent voucher from the Housing Authority. The HAP agreement/voucher may be used to support all or just a portion of the tenants' rent from the overall lease for the subject property.

In the event that the current HAP lease agreement has expired, an updated HAP lease is not required to be obtained unless SPECIFICALLY notated by that housing assistance program.

An Active Payment History Alone is sufficient to document the ongoing nature of the rental agreement  
Acceptable proof of a current rental agreement includes

- Recent HAP payment documentation such as:
  - Current or recent HAP Payment ledger
  - Direct deposit proof from a housing authority
  - Housing assistance remittance statements

For Leases which the HAP only covers a portion of the full amount, evidence of the tenants portion of the payment is required if used for qualifying purposes.

### 11.5 Qualifying Gross Rental Income

Qualifying Gross Rental Income on a REFINANCE is calculated as follows:

| Occupied Property/Unit                                                                                                             | Vacant Property/Unit                                                               |
|------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------|
| Qualifying gross rental income = the Lesser of 110% of market rent (Comparable rent schedule) and the actual in-place rent amount. | Determine market rent by 90% of appraisal rent addendum (Comparable rent schedule) |

In the case of month-to-month (MTM) lease without a prior term lease, qualifying gross monthly rental income will be the lower of:

- the actual lease amount OR
- MTM rent per Comparable rent schedule.

Qualifying Gross Rental Income on a PURCHASE is calculated as follows:

| Occupied Property/Unit                                                                                                                         | Vacant Property/Unit                                                                |
|------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| Qualifying gross rental income = the lesser of 100% market rent (Comparable rent schedule) and the actual in-place rent amount (if applicable) | Determine market rent by 100% of appraisal rent addendum (comparable rent schedule) |

## 11.6 Debt Service Calculation

The DSCR calculation is set forth as follows:

$$\frac{\text{Qualifying Gross Monthly Rental Income}}{\text{Total Proposed PITIA}}$$

PITIA= total monthly payments of:

- Monthly Mortgage Principal and Interest Payment
- Monthly Property Tax Payment
- Monthly Home Insurance Payment Monthly HOA Payment

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**Note:** \*\*Note: All Rental loans require escrow for taxes and insurance

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## 12. Subordinate Debt / Other Encumbrances

Subordinate debt to private lenders or financial institutions or other encumbrances are not permitted. Constructive Loans will subordinate to a local Housing Authority on a purchase transaction only.

## 13. Maximum Loan Exposure

Constructive Loans will closely monitor each Borrower's total loan exposure greater than \$10 million. Guarantor exposure will be measured in the aggregate and across all related entities and rental product types with debt to Constructive Loans.

## 14. Collateral/Property

Constructive Loans provides financing of subject property with the sole business purpose of being held as income property to non-Borrower affiliated tenants. The property should be located in a stable or improving market. Properties located in declining markets are subject to a five (5) % LTV reduction.

Eligible properties have a minimum property value of \$75k. Refer to applicable DSCR overlays on matrix.

Properties that have been listed for sale within the past six (6) months will require a LOX from the Borrower. In addition, Constructive Loans will require confirmation and validation that property listing has been removed from Multiple Listing Service (MLS) and must be re-validated at final approval.

### 14.1 Eligible Properties

The subject property held as collateral will be non-owner occupied and should be in "rent ready" condition. Property types considered for financing include the following:

- Single-Family Residence
- 2-4 Unit Properties
- Townhomes or Planned Unit Development Properties (Attached or Detached PUD)
- Condominiums (Warrantable and Non-Warrantable)
- Multifamily properties 5-8 units (See [Appendix H:](#) )

## 14.2 Condominiums

Condominiums minimum unit size is 500 square feet for each residential living unit provided the appraisal supports similar size sales and rental comps and the size of the property should not have negative impact to the marketability of the property.

Condominium warrantability is determined based on below to include but not limited to:

- Number of Owner-occupied units is >50%
- Control of the HOA has been turned over to the unit owners.
- Condo project is complete.
- Condo project is not involved in litigation of any kind.
- Condo is not part of a timeshare.
- No more than 15% of units' delinquent by 30 days or more.
- No single person should own more than 10% of the units.
- The condo association's budget must be adequate and have a replacement reserve of 10%

## 14.3 Short-Term, Seasonal and Vacation Rentals

See [Appendix G](#):

## 14.4 Rural Properties

Properties located in a rural area as defined by the appraisal report are acceptable and subject to LTV, DSCR and FICO limitations. Subject properties that have a rural designation are allowed, provided that such properties (a) are not used primarily for agricultural purposes, (b) serve as residential rental dwellings, and (c) are typical rental dwelling units in the local market.

Rural properties often have large lot sizes, and rural locations can be relatively undeveloped. Therefore, there may be a shortage (or absence) of recent truly comparable sales in the immediate vicinity of a subject property that is in a rural location. Comparable sales located a considerable distance from the subject property, or properties more than one (1) year from the property valuation date can be used if they represent the best indicator of value for the subject property. The valuation must include an explanation of why the comparable properties were selected.

When reviewing a valuation on a property located in a rural or relatively undeveloped area, specific consideration will be given to the characteristics of the property, zoning, and the present land use to determine whether the property should be considered residential in nature.

## 14.5 Ineligible Property Types

Property types that are ineligible for financing include but not limited to the following:

- Properties with a C5 or C6 Condition Rating
- Acreage greater than – 10 acres
- Leasehold
- Manufactured homes and mobile homes
- Modular homes
- Cooperatives and Timeshare hotels
- Bed and breakfast
- Hawaii properties in Lava Zone 1 or 2
- Dome or Geothermal homes
- Boarding houses
- Log homes

- Unique properties
- Working farms, ranches, vineyards, or orchards
- Homes on Indian reservations
- Properties subject to oil and/or gas leases
- Total or partially condemned property (including threatened or pending eminent domain)
- Property occupied by Borrower/guarantor.
- Condotels
- Community apartments
- Houseboats
- Care facilities/Assisted living facilities
- Commercial properties

## 14.6 Property Condition/Deferred Maintenance

Careful evaluation of appraisal reports and ensuring they meet Constructive Loans standards is paramount. Use this guide to identify key property conditions, deficiencies, and quality issues that require conditioning for further action or repairs.

### Property Condition

- Condition Ratings:
  - C1–C4: Ensure ratings are consistent with property descriptions.
  - C5: Properties rated C5 require significant repairs but remain functional as a residence. Properties with this rating may not meet livability and rentability standards and will need to be reviewed by UW manager for adherence to Constructive guidelines.
  - C6: Flag properties rated C6. These are ineligible without repairs to achieve a minimum C5 rating. Refer these to management for review and possible declination of loan for failure to meet minimum DSCR standards of Property condition
- Look for:
  - Visible deferred maintenance (e.g., worn floors, large cracks in walls, peeling paint, etc.).
  - Mention of any physical deficiencies impacting safety or functionality.
  - Consistency in condition ratings across comparable properties.
- Loans found to have deferred maintenance that could exceed \$5,000 for repairs or, is considered a health and safety issue by FNMA standards may require repair or an escrow holdback

### 14.6.1 Quality of Construction

- Quality Ratings:
  - Confirm consistency in quality ratings (Q1–Q6).
  - Q6: Flag properties with minimal construction quality or deficiencies.
- Look for:
  - Mismatches between descriptions of materials/workmanship and assigned quality ratings.
  - Indicators of substandard construction in Q5 and Q6 properties (e.g., unskilled workmanship, low-grade materials).
- Condition for:
  - Repairs or professional inspections if structural integrity is compromised.
  - Confirmation that all deficiencies impacting quality are addressed.

### 14.6.2 Key Safety Hazards

Appraisals must adequately address and flag health and safety hazards as well as structural soundness. Look for references to the following and ensure conditioning if not resolved.



- Windows/Entry Doors: Missing or cracked glass, unsecured ground-level windows, unsecured or broken exterior doors permitting access or elements to seep in from outside.
- Electrical/Gas: Missing outlet covers, exposed wires, missing gas caps, and loose fixtures.
- Floors: Holes, torn carpets, or curled linoleum that present trip hazards.
- Stairways: Missing or loose handrails, especially when a fall hazard exists.
- Pools: Ensure proper perimeter security is addressed; if not, condition for repair or compliance.
- Environmental Concerns: Discoloration (over 100 sq. ft.), odors, mold, or evidence of infestation.
- **Deficiencies Affecting Safety, Soundness, or Structural Integrity:** Any indication of structural damage (e.g., settlement, dampness, foundation cracks).
- **Infestation, Dampness, and Settlement:** Appraiser's comments on visible evidence of infestation (e.g., termites), water damage, mold present, staining, or settlement.
- Missing smoke alarms, expired batteries, or non-operational detectors.
- Missing switch plates, outlet covers, or light bulbs.
- Loose or missing handrails on stairways or porches.
- Unsecured crawlspaces, outbuildings, or pool gates.

Any indication of unresolved issues impacting safety, habitability, or structural soundness must be addressed prior to closing of loan. Escrow holdbacks will not be permitted for these type of items, regardless of cost. All key safety element items must be addressed. The following will be required to document repairs are completed:

- Lightbulbs, cover switches, switch plates, outlet covers:
  - may be documented by receipts and clear pictures from Borrower or Real Estate agent that align with subject property photos. Photos that cannot be matched back to subject property are then required to provide 1004-D by appraiser with photos documenting repair
- All other Key Safety Items
  - GC, licensed contractor, or qualified person(s) doing repair must provide itemized list of work with individual dollar figure and total amount clearly shown **and**
  - 1004-D w/photos of work completed must be provided by Appraiser

For outbuildings defined as structures on the same APN or lot that are not attached by any wall, roof, ceiling, or common element other than land, and are free standing of the subject property living unit can be excluded from the Key health and safety requirements provided ALL the following are met:

- Does not pose a safety risk (i.e. building or elements of the building could fall in or on someone on the property **and**
- The outbuilding, detached garage, or unattached shed was not given any monetary value **and**
- The appraiser comments along with condition rating includes the outbuilding **and**
- Appraiser provides clear photos from multiple angles of outbuilding, garage, shed **and**
- Minimum parking requirements for zoning (if detached garage) are met **and**

Deviation from this policy will require the written approval of Constructive's Credit manager or Credit Committee. Cosmetic Repairs and Deferred Maintenance

Constructive loans will not allow Holdbacks for items deemed health and safety related or, when structural issues exist.

Holdbacks of any kind will require written authorization from Constructive loans Executive Management or Credit Committee.

### 14.6.3 NY Building Code Violations

Constructive loans will not close around open HPDs unless unrelated to health and safety with an expeditor letter and clearance from title. Any open HPDs must be considered by Senior Management for approval.

#### 14.6.4 Updates and Remodeling

Appraiser must provide clear distinctions between Not Updated, Updated, and Remodeled conditions. Appraisal is to be reviewed for:

- Inconsistent reporting of updates or remodeling in the appraisal narrative.

Recently remodeled properties or properties where Purchase price and seasoning requirements aren't met which are looking to use the higher value should document the repairs/upgrades completed on the subject property by providing the budget and SOW to the appraiser for evaluation.

The Appraiser should comment on the work completed and its effect on marketability and or value. The appraiser should also comment as to if condition and quality rating have taken into account the recent work completed. Additional supporting documentation from the appraiser would include:

- Copy of SOW and/or Budget in the appraisal or as an addendum to the appraisal
- Photos confirming completion of work

If upgrades cannot be confirmed solely based on the documentation from the appraisal additional documentation may need to be requested refer to section [17.3 Loan to Cost](#) for further guidance.

#### 14.7 Property Land Use and Zoning

A valuation or other diligence report must indicate if specific property zoning for the subject property presents:

- A legal conforming use,
- A legal non-conforming (grandfathered) use
- An illegal use under the zoning regulations, or
- A use that is subject to no local zoning

If a property has a legal conforming use, it will be eligible for financing.

If the property is legal non-conforming use may be acceptable if the following applies:

- If the property is a one-to-four-unit property and the improvements can be rebuilt to current footprint and density in the event of a partial or full destruction, and the mortgage file includes either:
  - appraiser comments or
  - copy of the applicable zoning regulations supporting the property can be rebuilt to current footprint and density or
  - letter from the local zoning authority that authorizes reconstruction to the current footprint and density.

If a property is illegally used under the zoning regulations, it will be ineligible for financing.

A property with a designation of "no-zoning" is acceptable where the designation is consistent with local market practices and uses.

### 15. Appraisal / Valuation

Constructive Loans will determine individual property values for any collateral being pledged as part of the loan request through independent valuations ordered by Constructive Loans and completed by a preferred Appraisal Management Company. The transfer of valuation from any other institution/lender must meet Constructive Loans guides and will require a review to ensure compliance with Constructive Loans valuation standards. Additionally, Constructive Loans requires a Collateral Desktop Analysis (CDA) on all SFR and 2-4-unit properties. When the value derived from the CDA is less than appraised value and the CDA value to appraisal value exceeds -10%, Constructive Loans will require a second full independent appraisal of the subject property. The lower of the two fully appraised values will be used for the LTV calculation of the loan and the CDA is no longer applicable.

The valuation must indicate the "As-is" appraised value and include a comparable rent schedule. All valuations will be carefully reviewed by Constructive Loans and should comply with stringent, disciplined Company standards.

Any/all 'subject to' (repairs/inspections) appraisals will require a final inspection completion report. Independent photos outside of appraisal report to reflect and satisfy completion are not acceptable.

Refer to [Appendix M](#): Appraisal Review Job id 1-4 Family for additional guidance regarding specific appraisal sections and review.

## 15.1 Appraiser Independence

Constructive Loans requires all appraisals to be ordered through an independent Appraisal Management Company.

## 15.2 Use of an Appraisal for a Subsequent Transaction

Constructive Loans will allow the use of a mortgage appraisal for a subsequent transaction if the following requirements are met:

- The subsequent transaction was a purchase < 6 months ago.
- The age of the appraisal report must be less than 6 months from the note date of the subsequent transaction. If the appraisal report is greater than four months from the date of the note and mortgage, then an appraisal update is required.
- Ensure that the property has not undergone any significant remodeling, renovation, or deterioration to the extent that the improvement or deterioration of the property would materially affect the market value of the subject property.

## 15.3 Transfer Appraisal Requirements

Constructive Loans will allow for the transfer of appraisals ordered by non-affiliated parties if the transferred appraisal meets all the requirements of the following requirement

- Full complete appraisal with all required schedules completed by an acceptable AMC
- Fully completed and acceptable transfer letter from the previous lender/client
- Paid appraisal invoice
- Original copy of appraisal must be provided
- AIR Cert and evidence of receipt by borrower within 3 days

Transfers must be approved by the Constructive Loans Management Team.

## 15.4 Multi-Family Appraisal Requirement

- For 2 to 4 units, all units must be inspected by the appraiser.
- Appraiser to determine and comment on the following:
  - State of readiness for occupancy if vacant,
  - Number of repairs/renovations necessary to make them ready for occupancy.

## 16. Title

### 16.1 Title Requirements

Satisfactory title insurance coverage will be obtained for all loans. Constructive Loans will confirm that the collateral property will be free of any encumbrance of lien, other than the lien of Constructive Loans security instrument. A lender's title insurance policy naming the beneficiary(s) "BPL Mortgage Trust LLC, ISAOA"/ 1<sup>ST</sup> mortgage will be required in an amount at least equal to or greater than the original principal amount of the Loan from a title insurer satisfactory to Constructive Loans. Each property must be comprised of at least one (1) parcel which constitutes a separate tax lot and does not constitute a portion of any other tax lot not a part of such property. There must not be any liens for delinquent charges or unpaid assessments for homeowner's association dues or improvements as it pertains to the subject property.

Constructive Loans requires a 24-month chain of title-on-title commitment. Constructive loans will carefully review for gaps and non-arms length transfer(s).

The title policy must be written on the 2021 ALTA form where required and applicable or 2006 American Land Title Association (ALTA) standard form. The title insurance policy must ensure that the title is acceptable and that the mortgage constitutes a lien of the required priority on a fee simple (or leasehold) property. Constructive Loans will confirm that the collateral property is free of any tax encumbrance and that all taxes are paid and current by closing.

## 16.2 Effective Title Date

Because the 2021 or 2006 ALTA forms provide protection for the time between loan closing and recordation of the mortgage, policies written on those forms may be effective as of loan closing. The effective date of the commitment for title insurance should be no more than 90 days from Note Date.

## 16.3 Vested Owner on Title

Constructive Loans does not allow for multiple individuals to be vested proposed owners on title if they are not a Guarantor. Constructive Loans does not allow for multiple entities as proposed owners on title.

### 16.3.1 Inheritance Properties

These guidelines are established to ensure a consistent and rigorous approach in the underwriting of residential real estate loans for properties acquired via Quitclaim Deeds (QCDs) as inheritance in the case of an owner's death only.

#### Documentation Requirements

Request and meticulously review the following documentation to validate the ownership, assess the value, and ensure the legitimacy of the acquisition method:

- **Quitclaim Deed Documentation:**

- A copy of the recorded Quitclaim Deed to verify the transfer of property.
- Documentation should clearly indicate the relationship between the donor and recipient of the Property
- Certificate of death for the donor party is required

- **Proof of Inheritance:**

- Inheritance Documentation: Legal documents proving inheritance, such as will or probate court documents, establishing the borrower's right to the property.

- **Title Search and Title Insurance:**

- A recent title search to ensure there are no undisclosed liens or encumbrances.
- Evidence of title insurance protecting against title defects.
- Review of local and state laws to ensure compliance with all regulatory requirements regarding property transfers via Quitclaim Deeds.
- Check for any potential legal disputes or issues related to the property or its previous owners.

#### Risk Assessment Considerations

- **Borrower's Investment Experience:** Consider the borrower's experience and track record with similar investment properties.

- Document evidence the Borrower currently owns primary residence in the loan file and occupancy, or reverse occupancy issues do not exist
- Addresses in file including bank statements, Drivers license, and credit report should accurately reflect the Borrower primary address (or Entity address); LOE and supporting documentation required for address discrepancies

- **Ineligible Gifts of equity or Inheritance:**

- **Gift of Equity where party is still living MUST be direct family member to be considered**
- **Gift of Equity from non-Family member**
- **QCD from any person who cannot be proven as family member**

## 16.4 Private Road Maintenance Agreements

Properties located on private roads without private road maintenance agreements are acceptable. Each property must be able to be accessed via a road which emergency and passenger vehicles can access the property in all types of weather. Private roads must be protected by permanent recorded easement (non-exclusive and non-revocable easement without trespassing from the property to a public road) or the road must be owned and maintained by a homeowner's association (HOA). Shared driveways must also meet these requirements.

## 16.5 Survey Requirements

Requirement for a survey will be determined by state laws and title company requirements to issue a Lenders Final Policy with no standard survey exception. Constructive Loans does not allow standard survey exceptions on the Lenders Final Title Policy.

## 16.6 Utility Requirements

Each property must have adequate rights of access to public or private utilities and public rights of way. If public sewer and/or water facilities, those that are supplied and regulated by the local government, are not available, community or private well and septic facilities must be available and utilized by the subject property. Private well or septic facilities must be located on the subject site. If there is reference in the appraisal to environmental hazards or any other conditions that affect well, septic, or public water facilities, the appraisal must address the effect of the hazards on the value and marketability of the subject property.

## 16.7 Multiple Parcel Properties

Constructive Loans may allow properties with multiple parcels that meet the following requirements:

- Each parcel must be conveyed in its entirety.
- Parcels must be adjoining.
- Each parcel must have the same basic zoning (for example, residential, agricultural)
- The mortgage must be a valid first lien covering all parcels.

## 16.8 Collateral/Mortgage Payoff

If the mortgage payoff reflects default interest, late fees/charges, or non-sufficient funds (NSF) as shown on the subject property payoff. The following requirements will apply:

- If the payoff is from a recognized servicer (Bank/Credit Union/CFPB recognized servicer or national servicer), a VOM is acceptable. VOM must contain Borrower name, Lender Name, Property address, Current balance, Account opened date, 12-month payment rating, signed by verifiable Lender representative.
- If the payoff is from a private lender/party, a 12-month payment history is required.
  - Cancelled checks or
  - Bank statements.

If the mortgage payoff reflects an extension fee, a letter of explanation is required and maybe subject to above VOM or 12-month payment history requirement.

Discounted payoffs are ineligible for refinances.

Payoff (s) from originating Broker/Lender is not eligible on DSCR <1.

Payoffs greater than loan amount should be carefully reviewed.

In the case of a blanket payoff, said payoff must identify any/all properties included in the payoff.

## 16.9 Judgements and Liens on Title

All Federal tax liens must be paid in full.

Open Judgements, Liens (non-federal tax) and collections/charge-offs totaling more than \$5,000 must be paid in full at closing.

Loan proceeds can be used to satisfy the above provided they are not consumer debt and are for business purposes as evidenced by a separate LOX from the borrower. Debt that is determined to be consumer or personal or consumer in nature must be paid by the borrower's own funds and must not be paid by the proceeds at closing.

Refer to section 6.8 for judgements and liens not on title.

#### Transaction Type/Property Seasoning Requirements

### 16.10 Delayed Purchase Transaction (<180 days with no debt)

Properties acquired by the borrower/guarantor within the last 180 Days from acquisition date to Note date may be treated as a rate/term no cash-out transaction based on LTC/LTV grid for purchase transaction provided that the loan advance is structured based on the borrower's acquisition price and there are no outstanding mortgage liens on the property.

Carefully consider the prior trade dates and price of the subject property.

Delayed Financing is designed to allow the recoup of the initial cost (Purchase Price) of the investment ONLY.

It does not allow recouping improvements that have been completed AFTER the initial Purchase of the property.

LTV will be based on the lowest of:

- Initial Purchase price **OR**
- Current Appraisal Value

\*\*\* SOW may not be added to Original Purchase Price when computing LTV – above formula is strictly utilized for Delayed Purchase

\*\*\*SOW consideration will mean subject is not a Delayed Purchase but becomes R/T or C/O and is subject to those applicable guides

### 16.11 Refinance Transactions

#### 16.11.1 Rate/Term

Definition:

The refinancing of an existing mortgage for the purpose of changing the interest and or term of a mortgage without advancing new money on the loan.

If the property is owned less than or equal to 90 days from acquisition date to Note date, the maximum loan amount or LTV. The unpaid principal balance (UPB) will be capped at original purchase price + verified cost of improvements.

If the property is owned greater than 90 days and less than or equal to 180 days from property acquisition date to Note date, the loan amount cannot exceed 100% of total LTC (acquisition cost + verified improvements)

If the total LTC is  $\leq 120\%$ , the As-Is Value may be utilized for loan sizing.

If the property is owned greater than 180 days and less than 12 months from property acquisition date to Note date, the loan amount will be based on As-Is appraised value and standard maximum LTV applies not to exceed 140% of total LTC.

Any lien(s) taken within the past 12 months, including second liens, open lines of credit, gap funding, other financing including private notes and unrecorded liens on a subject property may require a (re)classification of transaction type as **Cash-Out**. Exceptions for financing that are clearly institutional or deemed as a legal necessity (i.e.: NY Building Loan Agreement) may be considered for rate and term.

The maximum amount that the Borrower can receive at closing for a no cash-out refinance is 2% of the loan amount.

Constructive will carefully consider the prior deed dates and price of the subject property.

## Cash Out

### Definition:

A refinance that does not meet the Rate and term refinance definition, a borrower would receive cash out from the transaction or when an open-ended subordinate, private lien, unrecorded lien or other lien that does not meet rate and term seasoning requirements is refinanced into a new transaction.

If the property is owned less than or equal to 90 days from acquisition date to Note date, the maximum loan amount or LTV UPB will be capped at original purchase price + verified cost of improvements.

If the property is owned greater than 90 days and less than or equal to 180 days from property acquisition date to Note date, the loan amount cannot exceed 100% of total LTC (acquisition cost + verified improvements)

If the total LTC is  $\leq 120\%$ , the As-Is Value may be utilized for loan sizing.

If the property is owned greater than 180 days and less than 12 months from property acquisition date to Note date, the loan amount will be based on As-Is appraised value and standard maximum LTV applies not to exceed 140% of total LTC.

Constructive will carefully consider the prior deed dates and price of the subject property.

## 16.12 Loan to Cost (LTC)

Loan-to-cost (LTC) is calculated by taking the loan amount divided by the total costs.

$(\text{Loan Amount} \div \text{Total Cost} = \text{LTC})$

Total costs = acquisition price plus borrower's verified schedule of improvements.

$(\text{Acquisition} + \text{Verified Improvements} = \text{Total Costs})$

Acquisition and applicable Refinance transactions require verification of property acquisition. The borrower will provide a copy of the following:

- HUD-1, OR
- Trustee receipt, or
- Other satisfactory proof of purchase for all properties.

The borrower's schedule of improvements made to the subject property must be validated either by

- The unqualified opinion of the appraiser or
- An independent licensed home inspector.

For Properties with value increases between 180 days and 12 months the scope of work alone is not sufficient to validate work completed. Additional documents to validate work done may be the following:

- Before and after photos
- Original budgets, draw management documents/reports/photos to support evidence of value add.
- Final HUD-1, closing disclosure (CD), or closing fee sheet reflecting the purchase amount and any additional funding
- Copy of note and most recent 12-month payment history (or if less than 12 months seasoning, provide inception to current) per Constructive guidelines.

## 16.13 Purchase Transactions

### 16.13.1 Land Contracts

Land contracts are allowed on purchase transactions only.

Land Contract are acceptable subject to:

- Contract provided between guarantor and legal owner of property to support payment agreement/land contract.
- Proof of payment(s) agreed from contract as down payment & monthly payments must be verified. Minimum 12 mos. or payments from inception of contract if shorter
- Land Contract (option to buy) – transaction must be treated as a Purchase transaction
- 12 mos. VOM to ensure owner has no lates (if private party VOM – must provide cancelled checks to document payments) – mitigate bail out
- Ensure prop is not delinquent (ex. Real estate taxes) – mitigate bail out
- Title –evidence land contract was recorded– if not explanation of why the land contract was not recorded
- LTV should be determined by lesser of:
  1. the total acquisition cost (defined as the purchase price indicated in the land contract, plus any costs the purchaser incurs for rehabilitation, renovation, or energy conservation improvements) OR
  2. the appraised value of the property at the time the new mortgage loan is closed. SOW should be included if there were updates and appraiser should concur

### 16.13.2 Borrower Equity

Constructive Loans requires that Borrowers maintain hard equity in each loan. A minimum equity requirement of \$10,000 is required for all purchase loans. For refinances, LTV can be used to meet the Borrower's equity requirement.

### 16.13.3 Assignment of Contract/Fees

In the event of assignment of contract, Constructive Loans will consider the lower of As-Is appraised value, the Contract Purchase Price plus any assignment fees, and 120% of the Contract Price. Assignment fees paid to any entity owned by the purchaser will not be applicable. An executed assignment of contract is required between current vested owner on title and proposed seller.

In the event a borrower is purchasing a property from a seller who acquired the property in the last 6 months, Constructive Loans will consider the Purchase Price the lower of the As-Is appraised value, the Contract Purchase Price and 120% of the lowest Sales Price in the last 6 months based on proposed loan closing date.

Any simultaneous closings will be treated under the same restrictions of Assignment of Contract/Fees and be limited to 120% of the lowest sales price in transactions for the last 6 months.

### 16.13.4 Adjustments to Purchase Price

Constructive Loans allows additional fees paid in connection with the purchase of the property to be included in the final purchase price (cost basis) used for the sizing of the loan. Allowable costs include, but are not limited to, winning bid, buyer's premium; technology fees/web fees and preservation fees.

Additional carry costs and fees will not be applied to the final purchase price. Examples of these fees include late fees, property inspection fees, BPO fees, insurance fees, title fees, unpaid taxes, mailing costs, filing fees, closing fees, review fees, taxes/transfer/recording fees, escrow items, fees payable in connection with a loan and processing fees.

- Constructive Loans allows for seller paid costs/credits or interested party contributions up to 2% of the purchase price of the property. Any amount over 2% of the purchase price will be considered a sales concession and will result in a reduction of the cost basis used to size the loan.
- Seller Paid Costs and/or Interested Party Contributions (IPCs) are costs that are normally the responsibility of the property purchaser that are paid directly or indirectly by someone else who has a financial interest in or can influence the terms and sale or transfer of the subject property. Allowable costs include origination and discount point; application fees, appraisal, and credit report fees; prepaid/escrows; legal services, settlement or escrow services, survey, title insurance, transfer taxes and tax stamps.
- If the realtor fee is customary/reasonable, fee should not be treated as a concession.



### 16.13.5 New Construction Purchase

In cases of a new construction purchase, a true up fee due to Land Developer is allowed per Agreement between Builder and Land Developer. A copy of the Agreement between Builder and Land Developer is required.

## 17. Non-Arm's Length Transactions

Constructive Loans will consider non-arm's length transaction.

A non-arm's length transaction occurs when the borrower/guarantor has a direct relationship or business affiliation with the subject property Seller, Builder, Developer, or any other party directly related to the transaction.

Ineligible non-arm's length transaction includes but are not limited to the following:

- Family sales
- Property in an estate
- Flip transaction
- Employer/employee sales

Eligible non-arm's length transaction includes but are not limited to the following:

- Buyer(s)/Borrower(s) representing themselves as an agent in the real estate transaction.
- Seller(s) representing themselves as agent in the real estate transaction.
- Client/Broker personal transaction as long as no other conflicts of interest/ownership exist (title company, closing agent, etc.

## 18. Loan Sizing (LTC/LTV)

Maximum LTC and LTV levels are adjusted based on several factors including, but not limited to, product type, collateral characteristics, loan structure and Borrower credit and financial wherewithal. Constructive Loans advance formulas will be based on the limits published in the Maximum LTV matrix attached in [Appendix C](#). In addition, please refer to any overlays on the matrix that are subject to change without prior notice.

The Credit Committee may approve adjusted advance formulas from the product grids after review of approved compensating factors.

## 19. Insurance Requirement/Coverage

All properties are required to be insured as set forth in [Appendix D](#): Insurance Coverage Requirements

## 20. Loan Terms/Documents

### 20.1.1 Payment Terms

Monthly PITI (A) payments are payable on the first (1<sup>st</sup>) day of each month, with interest calculated and payable in arrears. Principal is payable earlier or on the maturity date of the note or the date on which the indebtedness thereunder becomes immediately due and payable.

The due date of the first payment under the loan will be no more than 60 days from the date of the note. Loans with negative amortization are not permitted.

### 20.2 Prepayment

Loans can be repaid in part or in full at any time. Loans repaid within the first five (5) years may be subject to a penalty.

## 20.3 Legal Documents

Constructive Loans requires borrower execution of various legal documents prior to or at the time of closing, as set forth in [Appendix E](#): Legal Documents.

## 21. Credit Decisions

Constructive Loans will make credit decisions based on a number of factors that include but not limited to the following:

- Property type(s)
- Property location(s)
- Property quality
- Property cash flow
- Property seasoning
- Leasing status
- Market rent levels
- Property valuations
- Loan-to-Value
- Loan-to-Cost
- Borrower & Guarantor history (i.e. credit & background)
- Other Borrower & Guarantor level due diligence (e.g. financials)
- Other third-party diligence (i.e. appraisal, title, file reviews and inspections)
- Borrower total outstanding loan exposure
- Historical Loan Performance

All Loan approval decisions will consider the elements described above. The ultimate transaction pricing, structure and terms will be determined based on the characteristics of each transaction and a measurement of the transaction's inherent risks.

Constructive Loans reserves the right to validate any references or other documentation received in the course of evaluating an application. Constructive Loans considers many factors when granting a Loan or extension of credit, including but not limited to a review of the Borrower and Guarantor from a relationship perspective to determine if the Borrower will meet Constructive Loans standard for credit and risk, as well as its underwriting guidelines.

Constructive Loans reserves the right to approve or deny a Loan or extension of credit in its sole and exclusive discretion even if the Borrower meets the basic underwriting guidelines provided.

## Appendix A: Borrower and Guarantor Requirements

| Borrower Level Due Diligence                                                                                                                                                                                                                                                                                                                                |          |           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|-----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Document                                                                                                                                                                                                                                                                                                                                                    | Purchase | Refinance | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Application                                                                                                                                                                                                                                                                                                                                                 | X        | X         | Application must be signed with all applicable fields completed, including declarations if applicable                                                                                                                                                                                                                                                                                                                                                                                                  |
| Background Check                                                                                                                                                                                                                                                                                                                                            | X        | X         | All Individual Borrower(s)/Guarantor(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Credit Report                                                                                                                                                                                                                                                                                                                                               | X        | X         | For all Individual Borrower(s)/Guarantor(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| OFAC                                                                                                                                                                                                                                                                                                                                                        | X        | X         | For all Individual Borrower(s), /Guarantor(s), Manager(s), Key Principal(s)                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Identification                                                                                                                                                                                                                                                                                                                                              | X        | X         | Copy of government issued ID or Passport                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| Occupancy Declaration                                                                                                                                                                                                                                                                                                                                       | X        | X         | Guarantor(s) must sign non-occupancy declaration at closing                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Bank Statement                                                                                                                                                                                                                                                                                                                                              | X        | X         | Most recent and consecutive full 2 months of statements for any account provided based on application date as evidence of sourced and seasoned liquidity at least equal to the following:<br>Purchase down payment (if applicable); plus, Asset Reserves equal to 1% of the Unpaid Principal Balance on all mortgages reported on credit (except for the subject loan); plus 6 to 12 months of subject loan monthly PITIA reserves.<br>12 months of PITIA if anyone (1) borrower is a Foreign National |
| Entity Level Due Diligence (If Applicable)                                                                                                                                                                                                                                                                                                                  |          |           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Document                                                                                                                                                                                                                                                                                                                                                    | Purchase | Refinance | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Articles of Incorporation / Formation                                                                                                                                                                                                                                                                                                                       | X        | X         | <ul style="list-style-type: none"> <li>All pages required</li> <li>Required for all entity types</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                            |
| EIN or W9                                                                                                                                                                                                                                                                                                                                                   | X        | X         | <ul style="list-style-type: none"> <li>Required for all entity types</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                        |
| If Borrowing Entity is an LLC: <ul style="list-style-type: none"> <li>LLC Operating Agreement               <ul style="list-style-type: none"> <li>Must be signed/executed</li> <li>Must be single business purposes</li> <li>Must include Membership interest</li> <li>Must include management authority to sign and bind</li> </ul> </li> </ul>           | X        | X         | <ul style="list-style-type: none"> <li>All pages are required to have clearly identified ownership interests and include an authorization to borrow and designated signers.</li> <li>eSignatures must be verified/authenticated.</li> </ul>                                                                                                                                                                                                                                                            |
| If Borrowing Entity is a Corporation: <ul style="list-style-type: none"> <li>Corporate By-Laws or Comparable organization document/Shareholder Agreement or comparable organization document</li> <li>A Corporate Resolution designating authorized signors.</li> <li>Stock Certificate / Share Ledger and Corporate Resolution, (if applicable)</li> </ul> | X        | X         | <ul style="list-style-type: none"> <li>All pages required with clearly identified ownership interests</li> <li>List of officers and directors</li> <li>By-laws must be signed</li> </ul>                                                                                                                                                                                                                                                                                                               |
| Certificate of Good Standing (COGS) or an "Active Status" report from the State of entity state                                                                                                                                                                                                                                                             | X        | X         | <ul style="list-style-type: none"> <li>Must be no more than 90 days from the Note Date.               <ul style="list-style-type: none"> <li>Entities formed in the last 6 months do not require a COGS.</li> </ul> </li> </ul>                                                                                                                                                                                                                                                                        |
| Certificate of Foreign Qualifications. (If Applicable)                                                                                                                                                                                                                                                                                                      | X        | X         | <ul style="list-style-type: none"> <li>If the borrowing entity is formed in a state other than where the property is located, a valid Certificate of Foreign Registration is required.               <ul style="list-style-type: none"> <li>Foreign registration process is lengthy and extensive, it is advisable to be started as soon as possible.</li> </ul> </li> </ul>                                                                                                                           |

**Note:** Layered entities are subject to the above requirements except for Foreign Qualification. Certificate of good standing is not required for layered entity owners.

## Appendix B: Property Requirements

| Property Level Due Diligence                                      |          |           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|-------------------------------------------------------------------|----------|-----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Document                                                          | Purchase | Refinance | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Lease Agreement for subject property (if applicable)              |          | X         | Existing lease information must be provided for all tenant occupied refinance transactions.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Purchase Contract                                                 | X        |           | Fully executed Purchase and Sale Agreement and all applicable amendments/addendums executed by all parties                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| HUD and Warranty Deed                                             |          | X         | Validating transfer of property title and consideration                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Title Commitment, Closing Protection Letter and Wire Instructions | X        | X         | Must be effective within 90 days or less from Note Date and reflect BPL Mortgage Trust LLC ISAOA/ATIMA or Fay Servicing, LLC ISAOA/ATIMIA as Proposed Insured                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| Appraisal or Valuation                                            | X        | X         | Must have an "As-is" and Comparable Rent Schedule. "Subject To" appraisal with acceptable 1004D (Completion Cert) is acceptable.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Collateral Desktop Analysis (CDA)                                 | X        | X         | Required for all 1-4-unit property loans                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Commercial BPO                                                    | X        | X         | Required for all 5+ and mixed-use property loans                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| 2nd Appraisal Report                                              | X        | X         | <p>Required when the Appraised Value exceeds 10% of the CDA or BPO or when CDA shows deemed indeterminable or when the loan amount exceeds \$1,500,000.</p> <p>In the event that the value derived from the CDA/BPO is less than appraised value and the CDA value to appraisal value exceeds -10% Constructive Loans will require a second full independent appraisal of the subject property. The lower of the two full appraised values will be used for the LTV calculation of the loan and CDA/BPO is no longer applicable.</p> <p>If CDA shows deemed indeterminable or when the loan amount exceeds \$1,500,000</p> |
| Title Company/Settlement Agent Contact Information                | X        | X         | <p>Verify Closing Agent is vetted, and Secure Insight risk rating is low risk. For cooperating national producers and non-cooperating settlement agents, please refer to Settlement Agent Vetting and Monitoring Policy: <a href="https://app.processunity.net/fay/Default.aspx">https://app.processunity.net/fay/Default.aspx</a></p>                                                                                                                                                                                                                                                                                     |
| Proof of Insurance                                                | X        | X         | See Insurance <a href="#">Appendix D: Insurance Coverage Requirements</a>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Condominium Covenants and Restrictions, if applicable             | X        | X         | Required. Need to check for any deed restrictions.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Condominium Questionnaire, if applicable                          | X        | X         | Required. Need to determine if the HOA has any open litigations and need to determine condo warrantability                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |

## Appendix C: Maximum LTV and Minimum DSCR (One to Four Units)

Constructive Loans will consider advance formulas based on the following criteria:

| FICO    | Maximum LTV* <sup>1</sup> |           |          |
|---------|---------------------------|-----------|----------|
|         | Purchases                 | Rate/Term | Cash-Out |
| 720+    | 80%                       | 80%       | 75%      |
| 700-719 | 80%                       | 80%       | 75%      |
| 680-699 | 80%                       | 75%       | 75%      |
| 660-679 | 70%                       | 70%       | 70%      |

\*<sup>1</sup> non-warrantable condominium maximum LTV = 65%

For Loan Amount > 1.5M maximum LTV = 65%.

For Loan amount > 2MM will require Credit Committee approval.

Foreign National Borrower maximum LTV = 65%

| Maximum LTV | Minimum DSCR |           |          |
|-------------|--------------|-----------|----------|
|             | Purchases    | Rate/Term | Cash-Out |
| >75         | 1.00x        | 1.00x     | N/A      |
| >65-75      | 1.00X        | 1.00x     | 1.00x    |
| 65          | 0.75x        | 0.75x     | 0.75x    |

### ADDITIONAL STATE DSCR RESTRICTIONS

If the Credit score is  $\geq 680$  in the min DSCR is 1.0 in the following states:

- AL
- GA
- KS
- ME
- MO
- MS
- NE
- SD
- WI
- WY

If the credit score is <680 in the min DSCR is 1.10 in the following states:

- AL
- GA
- KS
- ME
- MO
- MS
- NE
- SD
- WI
- WY

## Appendix D: Insurance Coverage Requirements

Constructive Loans requires that each property be insured by insurance policies providing coverage as set forth in the loan agreement.

The insured as shown on the policy must be in the name of the Borrowing Entity or the Guarantor(s) for the loan.

The insurance policy must cover a full 12 months and must be paid in full at the time of closing. In the event that the current policy in place on the property expires within 60 days of the Note date, a copy of the policy renewal must be provided. If the current evidence of insurance (EOI) shows that the policy is on Auto Renewal, then the requirement may be waived if proof of payment for the renewal is provided or if the premium for the renewal is collected and paid at closing.

Lender and its affiliate must be listed as the Mortgagee and Lender's Loss Payable on the Evidence of Property Insurance as follows for loans which are not table funded:

BPL Mortgage Trust, LLC ISAOA/ATIMA  
c/o Fay Servicing, LLC  
PO BOX 7047  
Troy, MI 48007-7047  
Loan #

Table funded loans should reflect the following mortgagee clause

Name of Approved Table Funding Broker/ISAOA/ATIMA  
c/o Fay Servicing, LLC  
PO BOX 7047  
Troy, MI 48007-7047  
Loan #

### CANCELLATION NOTICE

Provide for at least ten (10) days prior to notice to the Lender for termination or cancellation for all causes of cancellation or nonrenewal (or such periods, not less than ten (10) days, as may be required by applicable law).

### DEDUCTIBLE

The maximum allowable deductible varies based on policy type.

| Policy Type                               | Deductible MAX (of the property insurance coverage amount) |
|-------------------------------------------|------------------------------------------------------------|
| Dwelling/ Fire/ Property/All Other Perils | 5%                                                         |
| Wind/Hail/Hurricane                       | 10%                                                        |
| Flood                                     | NFIP minimums - refer to info below (minimum vs. maximum)  |

**\*\* Flood Policy** - The following describes the minimum deductible allowed by Constructive for an NFIP or a private flood insurance policy.

NFIP has minimum deductibles based on building coverage: \$1,000 minimum for \$100,000 or less in coverage and \$1,250 for more than \$100,000 of coverage.

### PROPERTY INSURANCE

Each Borrower has the right to select his or her own insurance carrier to provide property insurance for the security property, provided that the insurance policy and coverage meet Constructive Loans' requirements. The policy must be written by a carrier that meets the minimum rating requirements as outlined in the Insurer Ratings Requirements section.

Acceptable hazard insurance policies must protect against loss or damage from fire and lightning and other hazards covered by the standard extended coverage endorsement.

The coverage must provide for claims to be settled on a replacement cost basis. Extended coverage must include, at a minimum, wind, civil commotion (including riots), smoke, hail, and damage caused by aircraft, vehicles, or explosions. Constructive Loans will require a Replacement Cost Estimator (RCE) if coverage is less than loan amount or insurable value.

Please note: In states like Florida, RCE is not available. CL will accept insurable value as stated by the Insurer.

Actual cash value (ACV) insurance coverage is not permitted. Actual cash value is the amount to replace damaged property minus depreciation at the time of the loss.

In cases where the insurer is unable to issue replacement cost coverage due to age of dwelling or something similar, CL will require a written verification from the Insurer to support this.

### LIMITS OF INSURANCE

For a property with an individually held insurance policy, Constructive Loans requires coverage equal to the lesser of the following:

- 100% of the insurable value of the improvements, as established by the property insurer; or
- The unpaid principal balance of the mortgage.

In any event not less than the amount necessary or containing such endorsements as are necessary to avoid the operation of any coinsurance provisions.

### CO-INSURANCE

If the policy has a coinsurance provision, the insurance will be ineligible unless the policy specifically identifies the co-insurance is 100% and co-insurance provisions below 100% will be ineligible. This requirement is applicable to both full and partial loss scenarios and if the insurance documentation provided does not clearly identify that co-insurance is not applicable or that the 100% co-insurance is applicable to all loss types then the fully policy must be obtained to make that determination. For example, if the property has a fire that damages 25% of the property resulting in a \$50,000 loss and the 80% co-insurance will result in the payout on the loss to be 80% of the \$50,000 the policy will be ineligible.

### RENT LOSS

Constructive Loans requires six (6) months of Rent Loss coverage equal to six (6) months of PITIA payments, in the case that an insurable occurrence causes interruption of rent collection for the subject property.

### CONDOMINIUM AND ATTACHED PUD INSURANCE REQUIREMENTS

Attached PUD and Condominium property types require the homeowners' association (HOA) to maintain a master property insurance policy that provides coverage for the full insurable replacement cost of the project improvements including the units. Detached condos may follow single-family property insurance requirements (Selling Guide B7-3-03, Determining the Amount of Required Property Insurance Coverage,) if the legal documents allow individual policies to be held.

Attached PUD and Condominium properties require an HO6 Policy equal to no less than 20% of the appraised as-is value if the interior "walls-in" and "betterments and improvements" are not insured under the Master Insurance Policy carried by the Homeowners Association.

### INSURER RATING REQUIREMENTS

Acceptable insurers must be domiciled in the United States and/or licensed to do business in the state(s) in which the subject property/properties are located and must be written by a carrier that meets the following rating requirements. The carrier needs to meet only one of the following rating categories:

| Rating Agency                                        | Minimum Rating | Minimum Size |
|------------------------------------------------------|----------------|--------------|
| AM Best Insurance Reports                            | B              | N/A          |
| AM Best Insurance Reports Non-US Edition             | A              | VIII         |
| Demotech Financial Stability Ratings                 | A              | N/A          |
| Standard and Poor's Ratings Direct Insurance Service | BBB            | N/A          |

If the insurer is not rated and is a state-subsidized insurance, this is acceptable. Verification must exist that Insurer is state-subsidized or is a result of state legislature to provide coverage to borrowers who are unable to obtain insurance in the open market.

### FLOOD INSURANCE

Flood Insurance is required for any property determined to be in a FEMA declared flood disaster area. Insurance coverage up to the lesser of loan amount, maximum \$250,000 or the maximum allowable amount per the National Flood Insurance Program is required. A Constructive Loans will obtain a flood determination certificate from Constructive Loans's approved flood provider to verify if the property is in a flood zone. If applicable, the monthly flood insurance premium must be included in the DSCR calculation.

Acceptable policies for flood insurance:

- A Policy Declaration page with a paid in full receipt.
- Fully executed flood application, Accord form and paid in full receipt.

Master flood insurance policy maintained by the project must cover the subject units. If It is determined that the master policy does not have sufficient coverage (as indicated below) for each of the subject units, the borrower must provide supplement individual flood insurance for the subject property.

The coverage amount for the building must be as least equal to the lesser of:

- 80% of the replacement cost, or
- The maximum insurance available from NFIP per unit (which is currently \$250,000 per unit)

The special flood hazard area disclosure must be signed and uploaded to the loan.



## Appendix E: Legal Documents

The following legal documents include but are not limited to:

- Promissory Note
- Security Instrument
- Personal Guaranty
- Declaration of Non-Owner Occupancy and Indemnity
- Business Purpose Certificate
- Assignment of Rents
- Hazard Insurance Disclosure
- Language Capacity Declaration
- Compliance Agreement
- Arbitration Agreement
- Environmental Indemnity Agreement

## Appendix F: Foreign National Guidelines and Non-US Citizen Requirements

### FOREIGN NATIONAL GUIDELINES

Constructive Loans will consider Foreign Nationals subject to the underwriting policies depicted below. Foreign National borrowers are defined as citizens of another country who have a valid Visa to visit the US for business or leisure. Foreign Nationals are not Non-Permanent Resident Aliens, Permanent Resident Aliens, or U.S. Citizens. Foreign Nationals do not have Green Cards and are not authorized to work in the U.S. Their primary residence is in their country of origin.

Constructive will allow foreign nationals to serve as guarantors so long as they are domiciled in a country not on the Ineligible Countries list. Foreign National guarantors are required to borrow in the name of a US based entity. In addition, Constructive Loans will require the following for Foreign National owned borrowing entities:

- No more than two (2) foreign nationals are permitted to be guarantors, have equal to or greater than 20% ownership, or serve as managing member(s) of the borrowing entity.
- The borrowing entity must be held directly by natural persons with no other entity owners.
- A registered agent (CSC Corporation, another company, attorney, or other individual) for the borrowing entity in the states where they are qualified to do business.
- The borrowing entity must be domestic entity registered in the U.S.
- The borrower/guarantor must have assets on deposit with a US Banking Institution.

All Foreign National Borrowers/guarantors are required to provide valid identification to confirm they can legally enter the United States. Legal entry can be validated by any of the following:

- Copy of the borrower/guarantor(s) valid and unexpired passport from their country of residence/citizenship Valid US Visa (if not subject to Visa Waiver Program)
- USCIS Approval documentation showing the borrower/guarantor(s) have a valid Visa Class.

The following classifications are **not eligible** for the Foreign National Borrower/Guarantor:

- Undocumented Aliens
- Deferred Deportation (DACA) – C33 annotation on EAD card.
- Borrowers/Guarantors with Diplomatic Immunity (A/G/NATO Visa types)
- Foreign Entities (Corps, LLC, LLPs, etc.)
- All Trusts

### REPRESENTATIVE FICO SCORE

Foreign Nationals who meet the above criteria and have a valid US Based Credit Score from at least 2 of the 3 major repositories may be priced according to the representative FICO from the rate sheet. Foreign Nationals who do not have a valid US Based Credit Score must be priced at the **lowest available tier** from the rate sheet at the applicable LTV.

If the borrower/guarantor has a valid SSN then Constructive Loans will order a Tri-Merge Credit Report and if a file exists and is scored, then the Credit Score must meet the Rental Loan Program guidelines. If there is any of the following derogatory items present in the borrower/guarantor profile the loan will be ineligible:

- Bankruptcy
- Foreclosure
- Short-Sale
- Deed-in-Lieu
- Borrower/Guarantor initiated Loan Modification

#### INELIGIBLE COUNTRIES LIST INCLUDE BUT NOT LIMITED TO:

|                                  |                      |
|----------------------------------|----------------------|
| Afghanistan                      | Libya                |
| Balkans                          | Nicaragua            |
| Belarus                          | North Korea          |
| Bosnia-Herzegovina               | Russia               |
| Burma (Myanmar)                  | Saudi Arabia         |
| Burundi                          | Somalia              |
| Central African Republic         | South Sudan          |
| Crimea                           | Sudan                |
| Cuba                             | Syria                |
| Democratic Republic of the Congo | Turkey               |
| Egypt                            | Ukraine              |
| Eritrea                          | United Arab Emirates |
| Haiti                            | Vanuatu              |
| Iran                             | Venezuela            |
| Iraq                             | Yemen                |
| Lebanon                          | Zimbabwe             |
| Liberia                          |                      |

#### NON-U.S. CITIZEN BORROWER/GUARANTOR REQUIREMENTS

##### *Permanent and Non-Permanent Resident Aliens*

Constructive Loans will make loans to maximum terms for lawful Permanent and Non-Permanent residents of the United States if they can meet the requirements outlined in this section below.

#### PERMANENT RESIDENT ALIEN REQUIREMENTS

##### *Permanent Resident Alien Definition*

Constructive Loans defines a Permanent Resident Alien as an individual who has been granted permanent residency in the U.S.

##### *Permanent Resident Alien Documentation Requirements*

Borrower/Guarantor must provide a valid, unexpired Green Card. If the Green Card is expired or will expire prior to final approval they must show that they have applied for renewal. If there is any reason for Constructive Loans to believe the borrower/guarantor's renewal application for permanent residency would not be granted the borrower will be qualified as a Foreign National.

##### *Permanent Resident Alien General Requirements*

In addition to the standard requirements applicable to all borrowers the following general requirements are applicable to Permanent Resident Aliens:

- The borrower/guarantor's background must not reflect any criminal activity after the date of issue of their latest Green Card. Any criminal activity after the issue date of their Green Card will require a clearance letter from the USCIS.
- The file documentation must support the borrower/guarantor is currently residing in the U.S. (Credit Report will validate).
- A borrower that fails to meet the above requirements will be underwritten as a Foreign National.

##### *Non-Permanent Resident Alien Definition*

Constructive Loans defines a Non-Permanent Alien as anyone currently residing lawfully in the United States meeting the following:

- Legal Resident Alien with an unexpired valid VISA from the acceptable VISA requirements list below, with at least six (6) months remaining at the time of final approval.  
[USCIS link](#)
- Legal Resident Alien with an unexpired valid VISA from the acceptable VISA requirements list below, with less than six (6) months remaining at final approval, but who can document they are eligible for and applied for renewal of their VISA or that has

applied for permanent resident status. If there is any reason for Constructive Loans to believe the borrower/guarantor's renewal application for permanent residency would not be granted the borrower will be qualified as a Foreign National.

- Legal Resident Alien that has been granted Asylum. Asylum approval documentation is required.
- Legal Resident that has been granted Refugee status.
- Legal Resident Alien who is currently under a Temporary Protected Status (TPS) that has a minimum of 12 months remaining on the status approval at final approval. In addition, regardless of length remaining on the TPS there can be no decision by the U.S. to remove the TPS after expiration. If status is being removed the borrower/guarantor must be underwritten as a Foreign National.

#### ***Non-Permanent Resident Alien Acceptable VISA Requirements***

The following VISAs are acceptable under the Non-Permanent Resident Alien Designation:

\*\* I 797, Notice of Action or Passport or EAD card can be provided to show acceptable visa

- CW-1
- E-1/E-2/E-2C/E-3
- EB (1-5)
- F-1
- H1-B/H1-B1/H1-C/H2-A/H-2B/H-3
- I-1 (non-derivative)
- L-1A/L-1B/L-2
- J-1/J-2
- K-3/K-4
- M-1
- O-1 (A&B)/O-2
- P-1 (A&B)/P-2/P-3
- Q-1
- R-1/R-2
- T-1
- TN (NAFTA)
- U-1

**Any borrower holding a VISA not on the list above will be underwritten as a Foreign National.**

## Appendix G: Short Term Rental Properties

### GUARANTY REQUIREMENT

- Full Recourse to warm body

### ELIGIBLE PROPERTY TYPES

- Single Family Residences (SFR-Attached/Detached)
- PUD/Townhome (Attached/Detached)

### ELIGIBLE LOAN AMOUNTS

- Minimum loan amount \$150,000
- Maximum loan amount \$2,000,000

### APPRAISAL REQUIREMENTS

Constructive will determine property value through independent valuations completed by a preferred Lender Appraisal Management Company (AMC). Constructive will require a Collateral Desktop Analysis (CDA) report. If the value derived from the CDA is over 10% less than the original appraised value, CL will require a full second independent appraisal of the subject property. The lower of the two appraised values will be used for the LTV calculation of the loan.

The valuation must indicate the “As-is” appraised value and include a comparable rent schedule. All valuations will be carefully reviewed by Constructive Loan’s and ensure it complies with stringent, disciplined Company standards in effect from time to time.

### Loan Sizing: LTC/LTV Restrictions:

| FICO                                                                                                                                                                            | Maximum LTV*1 |             |            |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|-------------|------------|
|                                                                                                                                                                                 | Purchases+    | Rate/Term++ | Cash Out++ |
| 720+                                                                                                                                                                            | 80%           | 75%         | 75%        |
| 700-719*1                                                                                                                                                                       | 75%           | 75%         | 70%        |
| 680-699*2                                                                                                                                                                       | 70%           | 75%         | N/A        |
| Loan amount > \$1.5MM = 65% max LTV                                                                                                                                             |               |             |            |
| *1 Max loan amount is \$1.5MM                                                                                                                                                   |               |             |            |
| *2 Max loan amount is \$1MM                                                                                                                                                     |               |             |            |
| + For purchase transactions, property can be vacant and use comparable schedule long term rent to qualify.                                                                      |               |             |            |
| ++ If property is vacant, not furnished or ready for occupancy on a refinance transaction, additional documentation will be required to verify STR use (e.g. STR listing, etc.) |               |             |            |

### DSCR REQUIREMENTS:

Minimum DSCR is 1.15x DSCR calculation is set forth as follows:

Qualifying Gross Monthly Rental Income /Total Proposed PITIA Definitions:

- Gross Rental Income is defined as
  - Average Monthly Rental Income for the recent twelve (12) months (Full accounting of rents is required)
- OR
- Average Monthly Long Term Rental Income per Appraisal Comparable Rent Schedule

### INELIGIBLE PROPERTIES

- Condominiums
- 5+unit residential properties
- Mixed-Use properties

**RESERVE REQUIREMENT:**

- 6 months of PITIA + 1% of outstanding mortgages reported on credit bureau is required.
- Cash-out proceeds cannot be used to meet/satisfy liquidity requirements.

**FOREIGN NATIONALS:**

- Ineligible

**BORROWER ADDITIONAL DOCUMENT REQUIREMENTS:**

- Third party income/rent full accounting is required from a recognized short-term rental platform.
- Most recent two (2) months bank statements must evidence rental deposits from third party short-term rental platform.
- Must be actively listed on a short-term rental platform.

## Appendix H: Multifamily (5 – 8 Units Only)

### GUARANTY REQUIREMENT

- Full Recourse to warm body

### ELIGIBLE PROPERTY TYPES

- Units 5 to 8 units

### ELIGIBLE TRANSACTION TYPES:

- Purchases
- Refinances (No Cash Out & Cash Out)
  - Cash Out Limitations:
    - Min 700 Fico
    - DSCR <1.50X will require 2<sup>nd</sup> level approval

### MINIMUM LOAN AMOUNT

- \$250,000.00

### MINIMUM VALUE:

- \$350,000.00

### DSCR REQUIREMENTS

- 1.20x

### APPRAISAL REQUIREMENTS:

*All loans originated under this program will require one full independent appraisal as follows:*

- 5-8 Unit multifamily properties below \$750k loan amount will require a full 71B (short form) appraisal or a full commercial narrative appraisal and must be dated no more than 120 days or 180 days with recertification (USPAP/FIRREA Compliant Interior/Exterior Appraisals with As-Is Value) Appraisal must adhere to Freddie Mac Multifamily appraiser / appraisal requirements, comply with and state its compliance with the USPAP and the current version of the FIRREA, including its Title XI regulation.
- 5-8 Unit Multifamily properties w/ loan amounts above \$750k will require a full 71A (long form) appraisal or a full commercial narrative appraisal and must be dated no more than 120 days or 180 days with recertification (USPAP/FIRREA Compliant Interior/Exterior Appraisals with As-Is Value) Appraisal must adhere to Freddie Mac Multifamily appraiser / appraisal requirements, comply with and state its compliance with the USPAP and the current version of the FIRREA, including its Title XI regulation.
- A minimum of two (2) units must be inspected by the appraiser for properties up to 20 units. Constructive Loans may require additional units to be inspected at their discretion.
- A Commercial BPO will be required for all multifamily and mixed-use property transactions. A Commercial BPO will be required on all 5+ multifamily properties. In the event the value derived from the BPO is over 10% less than the original appraised value, Constructive Loans will require a full second independent appraisal of the subject property. The lower of the two appraised values will be used for the LTV calculation of the loan.
- For loan amounts > \$1.5MM a full second appraisal will be required.

### TENANT OCCUPANCY

For 5 to 8 multi-family unit properties, we will allow no more than one (1) unit to be vacant on a refinance if owned greater than 6 months from acquisition to Note date. A verification of rent listing is required.

Vacant units >1 on a purchase transaction will be carefully reviewed on an exception basis.

## ENVIRONMENTAL DOCUMENTATION REQUIREMENTS

- Environmental Indemnification

## LOAN SIZING: LTV/LTC RESTRICTIONS:

- 75% maximum LTV

## QUALIFYING GROSS RENTAL INCOME ON A REFINANCE IS CALCULATED AS FOLLOWS:

| Occupied Property/Unit                                                                                             | Vacant Property/Unit                                   |
|--------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------|
| Qualifying Gross Rental Income = the lesser of 110% of comparable Market Rent and the actual in-place rent amount. | Determine Market Rent by 90% of comparable market rent |

- In the case of month to month (MTM) lease without a prior term lease, qualifying gross monthly rental income will be the lower of:
  - the actual lease amount OR
  - MTM rent per comparable market rent

## QUALIFYING GROSS RENTAL INCOME ON A PURCHASE IS CALCULATED AS FOLLOWS:

| Occupied Property/Unit                                                                                              | Vacant Property/Unit                                    |
|---------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------|
| Qualifying Gross Rental Income = the lesser of 100% Market Rent and the actual in-place rent amount (if applicable) | Determine Market Rent by 100% of comparable market rent |

- In the case of month to month (MTM) lease without a prior term lease, qualifying gross monthly rental income will be the lower of:
  - the actual lease amount OR
  - MTM rent per comparable market rent.

## DEBT SERVICE COVERAGE CALCULATION:

- 5-8 Unit Multifamily properties -the DSCR calculation is set forth as follows:

$$\frac{\text{Qualifying Gross Monthly Rental Income}}{\text{Total Proposed PITIA}}$$

## DEFINITIONS:

- Leased Units are defined as follows:
  - A lease with an initial term of 12 months, between unrelated parties
  - Month-to-month lease with a prior active lease
- Unleased Units are defined as follows:
  - Vacant
  - Month-to-month lease without a prior active lease

## INELIGIBLE PROPERTIES:

- Short-term rentals
- Mixed-use properties
- Reserve Requirement
  - 12 months of PITIA + 1% of outstanding mortgages reported on credit bureau
  - Cash out proceeds are not eligible to meet/satisfy liquidity requirements.



## Appendix I: Blanket (Wrap) Loan Program (Standard Only)

### MAXIMUM NUMBER OF PROPERTIES:

- 20 properties

### MINIMUM LOAN AMOUNT/PROPERTY #:

- \$500,000 or three (3) properties

### MAXIMUM LOAN AMOUNT:

- \$2,000,000

### MINIMUM PROPERTY VALUE:

- \$100,000

### ELIGIBLE PROPERTY TYPES:

- Single Family Residences (SFR)
- Condominiums (warrantable/non-warrantable)
- 2–4-unit residential properties

### ELIGIBLE BORROWER:

- Entity only

### INELIGIBLE BORROWER/GUARANTOR:

- Foreign Nationals

### GUARANTY:

- Full Recourse (to warm body)

### OTHER REQUIREMENTS:

- All properties will be cross collateralized and cross defaulted.
- Escrow for taxes and insurance is required.
- Partial Release
  - 120% of the original allocated loan amount. The allocated loan amount for each property will be considered the market (as-is) value of the property at the eligible LTV based on the property type and Borrower profile.
- No Collateral substitutions allowed.
- Pledge of Equity not required.

### APPRAISAL /VALUATION REQUIREMENTS:

- Refer to full guides.

### LTV RESTRICTIONS

- Refer to current standard pricing/rate sheet and matrix.

## QUALIFYING GROSS RENTAL INCOME:

*Qualifying Gross Rental Income for a REFINANCE transaction is calculated as follows:*

| Occupied Property/Unit                                                                                                     | Vacant Property/Unit                                            |
|----------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|
| Qualifying Gross Rental Income = the lesser of 100% Market Rent (1007) and the actual in-place rent amount (if applicable) | Determine Market Rent by 100% of appraisal rent addendum (1007) |

- In the case of Month to Month (MTM) lease without a prior term lease, qualifying gross monthly rental income will be the lower of:
  - the actual lease amount OR
  - MTM rent per comparable market rent.

*Qualifying Gross Rental Income for a PURCHASE transaction is calculated as follows:*

| Occupied Property/Unit                                                                                                     | Vacant Property/Unit                                           |
|----------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------|
| Qualifying Gross Rental Income = the lesser of 110% Market Rent (1007) and the actual in-place rent amount (if applicable) | Determine Market Rent by 90% of appraisal rent addendum (1007) |

## DEBT SERVICE CALCULATIONS:

- All Properties will be underwritten on an individual basis for cash flow and debt service coverage ratio calculation purposes.
- DSCR for each property is 1.00x on FICO 720+ and 1.20x on FICO <720.

Qualifying Gross Monthly Rental Income  
Total Proposed PITIA

## DEFINITIONS

- Leased Units are defined as follows:
  - A lease with an initial term of 12 months, between unrelated parties
  - Month-to-month lease with a prior active lease
- Unleased Units are defined as follows:
  - Vacant
  - Month-to-month lease without a prior active lease

## RESERVE REQUIREMENT:

- SFR, 2-4 unit and condominiums
  - 9 months PITIA + 1% of outstanding mortgages reported on credit bureau.
- 50% of Cash-out proceeds are eligible to satisfy reserve requirement.

## Appendix J: Portfolio Loan Program (Standard Only)

### MINIMUM LOAN AMOUNT PER PROPERTY:

- \$55,000

### MAXIMUM LOAN AMOUNT:

- \$20,000,000

### MINIMUM QUALIFYING FICO:

- 680

### MINIMUM # OF PROPERTIES:

- 2

### MINIMUM PROPERTY VALUE:

- \$75,000 and
- Average property value cannot be less than \$100,000.

### ELIGIBLE PROPERTY TYPES:

- Single Family Residences (SFR)
- Condominiums (warrantable only)
- 2–4-unit residential properties

### ELIGIBLE BORROWER:

- Special Purpose Vehicle (SPV) Entity only – Must be a new LLC or the LLC only owns the properties in the subject portfolio.

### INELIGIBLE GUARANTOR:

- Foreign Nationals

### GUARANTY:

- Full Recourse (to warm body)

### LIQUIDITY REQUIREMENT:

- Lower of 10% of loan balance and 12 months of PITIA
- Liquidity must be seasoned for a minimum of three (3) months for purchase transactions.

### OTHER REQUIREMENTS:

- All properties will be cross collateralized and cross defaulted.
- Escrow for taxes and insurance is required.
- Partial Release
- 120% of the original allocated loan amount. The allocated loan amount for each property will be considered the market (as-is) value of the property at the eligible LTV based on the property type and Borrower profile.
- No Collateral substitutions allowed.
- Pledge of Equity is required.
- Cash Management is required for loan amounts equal to or greater than \$5,000,000.

- A minimum net worth of 25% of the loan amount is required.
- Rent roll.

#### APPRAISAL /VALUATION REQUIREMENTS:

- Refer to full guides.

#### CASH MANAGEMENT REQUIREMENT

- Soft Springing Lockbox:
  - Note required if loan amount <\$3,000,000.
  - Required if loan amount >=\$5,000,000
  - The lockbox must be in the name of the Lender and assignable.
- Cash Trap Trigger springs upon:
  - The occurrence of an event of default
  - If NCF DSCR is less than required minimum DSCR

#### COMMERCIAL LIABILITY INSURANCE REQUIREMENT:

- A minimum of \$300,000/property is required.

#### LTV RESTRICTIONS:

- Refer to current standard pricing/rate sheet and matrix.

#### DEBT SERVICE COVERAGE RATIO (DSCR) REQUIREMENT:

- DSCR Calculation is defined as:
 

$$\frac{\text{Net Cash Flow (NCF)}}{\text{Mortgage Payment (P\&I)}}$$
- NCF Calculation is defined as:
 

$$\text{Gross Rental Income} - (\text{less}) \text{ Operating Expenses}^* - (\text{less}) \text{ Capital Expenditures } (\$600/\text{year per unit})$$

\*includes property management, marketing & leasing, repairs & maintenance, insurance, HOA, property taxes, turnover, other expenses

#### MINIMUM DSCR REQUIREMENT:

- A minimum NCF DSCR of 1.20x is required.
- A minimum property level NCF DSCR of 1.10x is required.

#### RENTAL/LEASE INCOME:

- Leased Units:
  - Lower of in-place rent and market rent from valuation report.
  - Proof of rent collections required for three (3) months prior to Note date.
  - Proof of receipt of security deposit for new lease required.
- Unleased Units:
  - 90% of market rent from valuation report
- Properties with no proof of rent collections or receipt of security deposit are considered as unleased.

## Appendix K: Standard Overlay

### ELIGIBLE BORROWER

- Entity Only

### GUARANTY

- Full recourse guaranty required from a warm body

### MINIMUM/MAXIMUM LOAN AMOUNT

- \$55,000/\$2,000,000

### MINIMUM PROPERTY VALUE

- \$100,000 As-Is

### MINIMUM QUALIFYING FICO

- 680

### CROSS COLLATERALIZATION REQUIREMENT:

- For loans submitted/closing in a 30-day period:
  - Property count > 5 or aggregate loan amount > \$1.5M – Blanket loan is required, up to maximum of \$2M. See [Appendix I](#).
  - Property count > 20 or aggregate loan amount > \$2M – Portfolio loan is required. See [Appendix J](#).

### ELIGIBLE PROPERTIES

- One to Four units (SFR, TOWNHME, PUD, 2 – 4 units) – Minimum 700 sf
- Warrantable Condos (Minimum 500 sf)
- Non-warrantable condos permitted only if the reason for non-warrantability is due to percentage of units being investment properties.
- 5 – 8 Unit multifamily properties for purchase transactions only.

### INELIGIBLE PROPERTIES

- Includes but not limited to:
  - Rural properties or as defined by the USDA Rural Designation website: <https://www.consumerfinance.gov/rural-or-underserved-tool/>
  - Non-warrantable condominiums
  - Short Term Rental Properties
  - Properties rented by the room
  - Owner-Occupied properties
  - Unique properties
  - Mixed use properties
  - Acreage > 10 acres
  - Properties which are not in compliance with local zoning regulations (including as reflected on the appraisal or residential evaluation)
  - Condo units < 500 sf
  - 2 – 4 units < 500 sf on average for each residential living unit
  - SFR/PUD/Townhomes < 700 sf
  - Properties with known adverse environmental conditions (other than lead paint, radon or asbestos in each case which do not present a health hazard, do not require remediation and have been verified contained per EPA guidelines prior to closing).

- Total or partially condemned property (including threatened or pending eminent domain)
- Transitional Housing

#### TRADE LINE REQUIREMENTS

- Minimum of 3 credit lines
- Minimum 1 active trade line
- At least 1 trade line with 24+ month rating and 2 lines must be rated for 12 months (open or closed)
- An acceptable 12 - 24-month housing history not reporting on credit may be used as a tradeline
- Alternative Tradeline use is ineligible

#### DSCR REQUIREMENTS

- 1.20x for FICO <720
- 1.00x for FICO >=720
- Max UW Rent per unit is \$5,000.00.

#### GROSS RENTAL INCOME

- The lower of
  - Actual monthly rent for leased units per the lease agreement OR
  - 100% monthly market rent noted on the appraisal report.

#### MAXIMUM LTV(LTC)

Leverage Chart

| FICO               | Purchase | * Refinance No Cash Out | * Refinance Cash Out *** |
|--------------------|----------|-------------------------|--------------------------|
| 700+               | 80%      | 80%                     | 75%                      |
| 680 – 699          | 75%      | 75%                     | 70%                      |
| NPRA               | 65%      | 65%                     | 60%                      |
| Foreign National** | 65%      | 65%                     | 60%                      |

**\* 5% LTV reduction on unleased property on refinance transaction**

**\*\*5% increase in LTV is allowed with:**

- DSCR > 1.30x
- Minimum liquidity: 12 months

**\*\*\* Cash-out refinances of a Fix and Flip/Rehab loan where the collateral property is vacant, a 5% haircut to maximum LTV will be applied AND the loan must meet the below requirements for eligibility:**

- Fico >=740
- Foreign Nationals are Ineligible.
- DSCR=>1.2X
- Property Value =>\$350,000.00
- Applicable Regardless of Seasoning from Fix and Flip/Rehab funding date

Loan Amount >\$1.5MM require a 2nd full appraisal. (lower of two appraised values to be used in LTV calculation)

Loans > \$1MM will require second level approval; Loan >\$2MM will require Credit Committee approval.

NPRA = non-permanent resident alien

#### NO CASH OUT TRANSACTION /MAX CASH BACK

- Borrower receives net proceeds that do not exceed 2% of the loan amount or \$2,000.00 (whichever less)

## LEASE REQUIREMENTS

- Fully executed active 12-month lease agreement with all parties. Property Management is required if property is managed by an entity other than the Borrowing Entity.
- Month-to-month leases are permitted if rolled 12 months from initial lease term and lease agreement includes month-to-month clause.
- Month-to-month leases permitted with a prior active lease of 12 months and proof of rent collection for at least 3 consecutive months prior to close. A 5% haircut to maximum LTV will be applied No vacation or seasonal rentals
- Cancelled check or bank statement are acceptable means of documentation.
- Each leased property must be used for residential purposes ONLY and be leased to a single family (per unit if multiple units).
- Lease to an entity is not permitted.
- All leases must be third party leases with no members of the Borrower family members leasing or occupying the property.
- No individual room leases, Single Room Occupancy (SRO), or boarder leases permitted.
- Proof of receipt of security deposit for the new lease is required.
- Properties with no proof of rent collections or receipt of security deposit are considered as unleased.
- Ground leases are allowed in areas where such leases are customary, and subject to the ground lease being longer than the loan term by five (5) years or more.
- No commercial use allowed.
- No purchase or sale-leaseback options are permitted.
- No cash-for-deeds.
- No leases with a term of > 3 years
- No Leases with Section 8, Section 42, or Rental Assistance Programs
- Tenant must not have requested forbearance or missed any rent payments by 30 days or more in the last 12 months.
- Tenant Occupied Purchase require copy of lease(s) and are subject to the lease requirements above.

## OCCUPANCY REQUIREMENTS

### *Refinance Transactions:*

- Single family properties must be leased at the time of closing and the borrower must provide evidence that the property has been leased.
- For 2 -4 unit properties, there shall be no more than one vacant unit at origination and any vacant unit must provide evidence of a recent lease within the last 2 months. (5% LTV reduction will apply if unit is vacant at closing)
- For cash-out refinances of a Fix and Flip/Rehab loan where the collateral property is vacant (not applicable if the property is occupied), a 5% haircut to maximum LTV will be applied and the loan must satisfy the below requirements for eligibility:
  - Fico >=740
  - Foreign Nationals are Ineligible.
  - DSCR=>1.2X
  - Property Value =>\$350,000.00
  - Applicable Regardless of Seasoning from Fix and Flip/Rehab funding date

### *Purchase Transactions:*

- Vacant property is permitted.
- Tenant Occupied Purchase require a copy of lease(s) and are subject to the lease requirements above.

## LIQUIDITY REQUIREMENTS

### *Provide bank statements with normal liquidity sourcing insuring qualifications are met:*

- Down payment if property is being acquired at origination.
- Closing costs
- 1% of the Unpaid Principal balance on all mortgages reported on CBR (except subject property) PLUS

- Nine (9) months of subject property loan monthly PITIA OR
- Twelve (12) months of subject property loan monthly PITIA, if any borrower is a Foreign National, OR
- Twelve (12) months of subject property loan = monthly PITIA, if property type is 5+ units (cash-out proceeds not eligible to cover)
- 50% of the amount of cash out proceeds are an acceptable source.

#### INELIGIBLE ASSETS:

- Home Equity Line of Credit (HELOC) funds cannot be used to meet reserve requirements or used for cash to close
  - Available Credit Is ineligible – funds must be advanced, fully liquid, and verified as a deposit to be utilized.

#### PROPERTY MANAGEMENT EXPERIENCE REQUIREMENTS

- Must be an experienced real estate investor.
- If property is self-managed by the borrower, then the following requirements apply:
  - Have 2 years of experience managing income producing properties.
  - Have a certification or proof of equivalent coursework in real estate property management.
  - New managers (defined as having <2 years property management experience) are permitted with a 700 min FICO)

#### BACKGROUND REQUIREMENTS

- No Guarantor, Borrower or Principal shall have any of the following derogatory credit finding:
  - Previous felony convictions involving fraud, embezzlement, forgery, or any other financial related crimes (If a red flag is identified, proof of clearance is required.
  - Felony convictions for non-financial related crimes and within reason are allowed outside of 10 years with explanation.

#### ASSIGNMENT OF CONTRACT/FEEES

In the event of assignment of contract, Constructive Loans will consider the lower of As-Is appraised value, the Contract Purchase Price plus any assignment fees, and 105% of the Contract Price. Assignment fees paid to any entity owned by the purchaser will not be applicable. An executed assignment of contract is required between current vested owner on title and proposed seller.

In the event a borrower is purchasing a property from a seller who acquired the property in the last 6 months, Constructive Loans will consider the Purchase Price the lower of the As-Is appraised value, the Contract Purchase Price and 105% of the lowest Sales Price in the last 6 months based of proposed loan closing date.

#### FOREIGN NATIONALS

- See maximum [leverage chart](#) for additional requirements
- Twelve (12) months of PITIA verified liquid reserve required
- Minimum DSCR is 1.20x

#### NON-PERMANENT RESIDENT ALIEN (NPRA)

- NPRA qualifying > 65% LTV
  - must meet all NPRA guidelines & [visa requirements](#) AND
  - min fico 720 & DSCR 1.20 & 12 mos. Reserves
- If the above requirements are not met, 65% max LTV

#### INELIGIBLE STATES

- AK, HI, ND, NV, PA, SD, UT, OH, MD



## Appendix L: Compensating Factors

### INCLUDE BUT NOT LIMITED TO:

- FICO 40 Points or higher
- Reserves 6+ months above requirement
- DSCR 0.50+ above requirement
- LTV -10 from max qualified for
- Seasoning > 5 years
- 3 years verified property management and/or rental experience

Exceptions should meet 2 or more of the above factors for consideration and require Lender's Executive Management or Credit Leadership or Credit Committee approval.

## Appendix M: Appraisal Review Job Aid 1-4 Family

All appraisals should be reviewed for both property acceptability and satisfactory supported value.

| Subject Property Section                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|-----------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Borrower Name                                       | <ul style="list-style-type: none"> <li>• Must reasonably<sup>1</sup> match borrowing entity and vesting on title</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                           |
| Owner of Record                                     | <ul style="list-style-type: none"> <li>• Must reasonably<sup>1</sup> match borrowing entity and vesting on title and borrower on refinance and must match seller on purchase</li> </ul>                                                                                                                                                                                                                                                                                                                                               |
| Property Address                                    | <ul style="list-style-type: none"> <li>• Must reasonably<sup>1</sup> match title, Encompass, and Hazard insurance</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                          |
| Assignment Type                                     | <ul style="list-style-type: none"> <li>• Matches Encompass transaction type – Purchase/Refinance</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Occupant                                            | <ul style="list-style-type: none"> <li>• Consistent with Encompass Occupancy</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| Special Assessments                                 | <ul style="list-style-type: none"> <li>• If special assessments listed – have them been included in DSCR Calc?</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                             |
| PUD /HOA                                            | <ul style="list-style-type: none"> <li>• If Marked PUD – Has this been updated to match in Encompass so the correct closing documents generate?</li> <li>• Have the Dues been added to the DSCR Calculation?</li> </ul>                                                                                                                                                                                                                                                                                                               |
| Subject Property Rights                             | <ul style="list-style-type: none"> <li>• Is it owned Fee Simple or Leasehold? Does this match title?</li> <li>• If Leasehold – Follow requirements/guidelines per program requirements</li> </ul>                                                                                                                                                                                                                                                                                                                                     |
| Lender name on appraisal report                     | <ul style="list-style-type: none"> <li>• Must be Constructive Loans/Fay Servicing/BPL Mortgage Trust</li> <li>• If not – Transfer of Appraisal Guidelines must be met.</li> </ul>                                                                                                                                                                                                                                                                                                                                                     |
| Has the property been listed in the last 12 months? | <p>Yes</p> <ul style="list-style-type: none"> <li>• <b>Purchase</b> information should match the contract details and give time on market.</li> <li>• <b>Refinance</b> can be a red flag and requires further review – if cash out within 6 months escalate to manager.</li> </ul> <p>No</p> <ul style="list-style-type: none"> <li>• <b>Purchase</b> ensure property was FSBO and not openly listed, or section may need to be corrected</li> <li>• <b>Refinance</b> – usually acceptable, always google and double check</li> </ul> |

<sup>1</sup> Minor discrepancies based on style that do not impact understanding do not need to be updated, unless CU scores are being utilized as a 2nd review product. For instance, St vs Street Or 123 E Main vs 123 East Main does not need to be updated.

### CONTRACT SECTION – PURCHASE ONLY

- Appraiser should be provided a copy of the contract for review – and indicate that it has been reviewed.
- Section should be complete and accurately match the information in the most recent contract
- Any significant contract modifications including price adjustments need to be provided to the appraiser for review and update to the appraisal.

### NEIGHBORHOOD SECTION

The Appraiser should be looking for and communicating any major trends that influence the marketability of properties in that neighborhood. Negative trends must be reported so that an accurate determination of the risk of the loan may be made

- Items to note:
  - Declining Markets
  - Over Supply
  - Rural
  - Inconsistent trends and characteristics
    - Built up less than 25% but marked Urban?
    - Property values increasing but marketing times over 6 months or over supply?
- Is value consistent with One-Unit Housing Low/High/Predom Values?
- Is Land use consistent with information reported throughout appraisal?

**Note: \*\*\*TAKE SPECIAL NOTE OF NEIGHBORHOOD BOUNDARIES – THESE ARE IMPORTANT WHEN REVIEWING THE SALES COMPARABLES AND THE MAP\*\*\***

| Site Section                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                        |
|----------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Zoning Classification and Zoning Description                   | <ul style="list-style-type: none"> <li>Is zoning classification given? Does it indicate possible unacceptable property such as agricultural, commercial, etc.</li> </ul>                                                                                                                                                                                                                                               |
| Zoning Compliance                                              | <ul style="list-style-type: none"> <li>Is property legally zoned? <ul style="list-style-type: none"> <li>Note: No Zoning is common and customary in Texas and does not require escalation. No Zoning in other states should be escalated for further review.</li> </ul> </li> <li>Legal non-conforming Zoning requires 100% rebuilt – see guidelines.</li> <li>Illegally Zoned properties are not eligible.</li> </ul> |
| Is the property the highest and best use as improved?          | <ul style="list-style-type: none"> <li>If no – appraiser must explain, and loan must be escalated.</li> </ul>                                                                                                                                                                                                                                                                                                          |
| Utilities                                                      | <ul style="list-style-type: none"> <li>Private utilities are acceptable as long as they are common for the area and pose no adverse issues for the marketability of the property – appraiser should make note.</li> </ul>                                                                                                                                                                                              |
| FEMA Special Flood Hazard                                      | <ul style="list-style-type: none"> <li>Flood Zone is to match the flood cert in the file.</li> </ul>                                                                                                                                                                                                                                                                                                                   |
| Are the Utilities and offsite improvements common for the area | <ul style="list-style-type: none"> <li>If No- Appraiser must provide detailed explanation. <ul style="list-style-type: none"> <li>Indicates possible marketability issues and possible property acceptability concerns – property to be escalated.</li> </ul> </li> </ul>                                                                                                                                              |
| Are there any adverse site conditions or external factors      | <ul style="list-style-type: none"> <li>If Yes – Appraiser to explain in detail. <ul style="list-style-type: none"> <li>Anything outside of normal items that can be factored with comparables (such as close to an airport, gas station, railroad tract etc.). To be escalated.</li> </ul> </li> </ul>                                                                                                                 |

| Improvements Section                                      |                                                                                                                                                                                                                                                                                                                                          |
|-----------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| General Description                                       | <ul style="list-style-type: none"> <li>Consistent with rest of appraisal for number of units, stories.</li> <li>If ADU – is it indicated?</li> <li>Is property attached or detached?</li> <li>Existing/proposed/Under construction?</li> <li>Year built and Effective age consistent? If not – is there commentary as to why?</li> </ul> |
| Foundation                                                | <ul style="list-style-type: none"> <li>If basement – is area and finish area indicated? Does this match the sales grid on page 2?</li> <li>Evidence of Infestation/Dampness/Settlement? If yes – is it addressed? Is appraisal subject to correction? Is condition rating acceptable?</li> </ul>                                         |
| Exterior & Interior Description                           | <ul style="list-style-type: none"> <li>Review for consistent information with photographs and other appraisal statements.</li> <li>Review for ineligibility indications – does appraisal indicate it to be log built? Unique in some way?</li> </ul>                                                                                     |
| Materials/condition                                       | <ul style="list-style-type: none"> <li>Are materials or condition substandard or poor or fair condition? Did the appraiser comment? Is appraisal subject to correction? Is condition rating acceptable?</li> </ul>                                                                                                                       |
| Appliances                                                | <ul style="list-style-type: none"> <li>To be indicated – considered personal property – however to be considered rent ready properties usually require Range/Oven and Refrigerator unless customary to the market or indicated in the lease.</li> </ul>                                                                                  |
| Finished area above grade                                 | <ul style="list-style-type: none"> <li>List all rooms and square feet – should match information on the sales comparison grid on the next page</li> </ul>                                                                                                                                                                                |
| Additional features & Condition of the property           | <ul style="list-style-type: none"> <li>Read carefully for upgrades or additional information appraiser might include</li> </ul>                                                                                                                                                                                                          |
| Are there any physical deficiencies or adverse conditions | <ul style="list-style-type: none"> <li>If yes – appraiser must describe – could indicate ineligible property – loan to be escalated.</li> </ul>                                                                                                                                                                                          |
| Does the property generally conform to the neighborhood?  | <ul style="list-style-type: none"> <li>If No- Appraiser must describe – could indicate ineligible property – loan to be escalated.</li> </ul>                                                                                                                                                                                            |

## SALES COMPARABLES GRID

- The appraiser should choose comparable sales that are recent, similar and proximate to the subject property to determine the market value. Review the comparables provided to ensure that
  - At least 3 closed comparable sales within 12 months have been provided
  - Unless property is unique, rural or has acreage distance should generally be 1 mile or less
  - Unadjusted and adjusted sales prices should bracket the final value
  - Across the board adjustments should not be present or be minimal and have little impact on value
  - Design and functional utility of the properties should be similar.

## RED FLAGS

- Appraisals can contain hidden red flags, especially with investment property and portfolio transactions. Additional items to look for
  - Comparable sales owned by the borrower
  - Comparable sales owned by the same guarantors
  - Frequent transfers on comparable sales
  - Value increases without upgrades or rehab

## PREVIOUS TRANSFERS

- The Appraiser must research previous transfers for the subject and comparable sales for the most recent 3 years. This section must ACCURATELY reflect the information from the results of this search
  - Ensure previous transfers are listed
  - Ensure check boxes indicating if previous transfers were found are correct
  - Review commentary to determine if more than one transfer exists

## RECONCILIATION

- Subject to completion or repairs appraisals require 1004D completion Certificate, escrow holdbacks are not allowed
- Value must be supported by the comparable sales
- Appraisal must be dated within 120 days of closing

| Required Exhibits and Attachments                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|---------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| An exterior building sketch that indicates the dimensions of the property | <ul style="list-style-type: none"><li>• Sketch must be software generated not hand drawn</li><li>• Must include all levels of the building</li><li>• If Subject is apartment style condo sketch must be of the unit not the building.</li><li>• If the property is atypical or is functionally obsolete sketch must include an interior floor plan including interior walls, doorways and labels for each room.</li></ul>        |
| Calculations showing how the estimated gross living area was derived      |                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Clear original Exterior photographs                                       | FRONT, BACK and STREET SCENE of the subject, each Sales comparable and each Rental comparable                                                                                                                                                                                                                                                                                                                                    |
| Clear original Interior Photographs                                       | <ul style="list-style-type: none"><li>• The kitchen</li><li>• ALL Bathrooms</li><li>• Main Living areas</li><li>• ALL Bedrooms</li><li>• The basement included all finished and unfinished rooms</li><li>• Examples of physical deterioration if present</li><li>• Any/all repairs noted and required by the appraiser</li><li>• Examples of recent updates, such as restoration, remodeling and renovation if present</li></ul> |
| Street Map                                                                | Location of the subject property including all Sales and rental comparables                                                                                                                                                                                                                                                                                                                                                      |
| Unexpired Appraiser's License                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                  |

## SINGLE FAMILY COMPARABLE RENT SCHEDULE FORM 1007

If the property is a 2-4 unit this will be included as part of the 1025 appraisal and does not need to be requested separately

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*Market rents MUST be supported by 3 SIMILAR rental sales NOT owned by the borrower, guarantor, or business partner. Rental comparables must represent Arms-length and 3<sup>rd</sup> party information.*

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- Review the 1007 for the following information and consider the following questions
  - Source used for monthly rent information – was it online/3<sup>rd</sup> party. Was it owner? Was it previous appraisal?
  - Proximity of the property to the subject, is it in the same neighborhood, similar appeal? Over a natural barrier such as highway, river, railroad track?
  - Is it significantly larger, smaller, older, newer or different in some way?
  - Do the photos match the information in the rental grid?
  - Do the photos match the Zillow photos?
  - Does the Zillow information match the rental grid?
  - Are the adjustments on the rental grid reasonable?
  - Is market rent reasonable or based only on 1 comp at the high end?

Escalate file for additional review if file has significant discrepancies for above issues.

## PHOTO, SKETCH AND MAP REVIEW

- Review the Photos, Sketch and Map to ensure that the information in the appraisal is consistent with these items. And ensure that
  - Design of home as described matches photos
  - Bedroom and bath count matches number of photos given
  - Comps are in the neighborhood described and not over any major natural barriers – or all in one direction and if they are, consider why?
  - Google addresses to look at street views, match homes and surroundings if unfamiliar with the area
  - Match bed/bath count to sketch if provided on the sketch
  - Review photos for undisclosed deferred maintenance or other issues that need to be addressed or fixed.
  - Is property actually in the condition given by the appraiser?
  - Are all health and safety items called out?
  - Is property rent ready?

## Appendix N: List of Recognized Loan Servicers and Banks

| Mortgage Servicer                         |
|-------------------------------------------|
| American Advisors Group                   |
| AmeriHome Mortgage Company, LLC           |
| Arvest Central Mortgage Company           |
| Aurora Financial Group, Inc               |
| Bank of America Home Loans                |
| Bayview Loan Servicing, LLC               |
| Broker Solutions, Inc                     |
| Caliber Home Loans, Inc.                  |
| Carrington Mortgage Services, LLC         |
| Compu-Link Corporation                    |
| Ditech Financial LLC                      |
| Dovenmuehle Mortgage, Inc                 |
| Fannie Mae                                |
| Fay Servicing, LLC                        |
| FCI Lender Services, Inc.                 |
| Finance of America Reverse LLC            |
| First Guaranty Mortgage Corporation       |
| Freedom Mortgage Corporation              |
| Guild Mortgage Company                    |
| Home Point Financial Corporation          |
| JPMorgan Chase &Co.                       |
| Lakeview Loan Servicing, LLC              |
| LoanCare, LLC                             |
| loanDepot.com, LLC                        |
| Longbridge Financial, LLC                 |
| M&T Bank                                  |
| Mr Cooper (Formerly Nationstar Mortgage)  |
| Mortgage Research Center, LLC             |
| NewRez LLC (aka New Residential Mortgage) |
| PennyMac Loan Services, LLC               |
| PHH Mortgage Corporation                  |
| Planet Home Lending, LLC                  |
| Provident Funding Associates, L.P.        |
| Quicken Loans Inc.                        |
| Reverse Mortgage Funding LLC              |
| RoundPoint Mortgage Servicing Corporation |
| Rushmore Loan Management Services LLC     |
| Select Portfolio Servicing, Inc           |
| Selene Servicing                          |
| Specialized Loan Servicing LLC            |
| Sun West Mortgage Company, Inc            |
| THE MONEY SOURCE INC.                     |
| United Shore Financial Services, LLC      |
| U.S. Bank                                 |
| Wells Fargo (WFHM)                        |

List is not all inclusive. May also be validated with additional documentation

- Constructive must complete a review of validation for any servicer not on the above list
  - All validation information must be documented within the loan file